Question #1 of 200

Question ID: 1675396

What is the rule of thumb for members, CFA charterholders, and candidates in the CFA Program when weighing the requirements of the CFA Institute Code and Standards and the requirements of local laws? If the applicable laws are:

A) more strict, they must still follow the Code and Standards.

B) more strict, they must adhere to the applicable laws.

C) less strict, they should make a judgment call on which to follow: the Code and Standards or the local laws and requirements.

Question #2 of 200

Question ID: 1675462

Scott Marsh is a research analyst for a brokerage firm following the computer industry. Joe Perry is Marsh's former college roommate and is the head of technology for Mercury, a large software company. Perry informs Marsh on Tuesday that in two days, the company will officially announce that its release of its newest version of its software will be moved up one month, from October 1 to September 1. The announcement will be surprising to the industry and will likely be met with skepticism because the company has had trouble meeting release dates in the past. Perry assures Marsh that he is certain that they will meet on the September 1 date. Marsh considers Perry to be very honest and highly competent. Marsh should:

A) wait until the public announcement is made, then release a report explaining that he believes the company will make the release date, disclosing that one of the reasons for his opinion is Perry is a friend of his.

B) produce his research report in two days based solely on the official announcement, not taking into consideration the information from Perry.

C) immediately put out a report recommending the stock, but wait until the official announcement to state his reasons.

Question #3 of 200

Question ID: 1675539

Brenda Clark is an investment advisor. Two years ago, Clark decided to stop calculating a return composite because of the time required to make those calculations. A prospective client asks Clark what she thinks her performance would have been over the past two years. Clark:

A) cannot answer the question because it would be misleading.

B) can answer the question orally, but she cannot state the numbers in writing.

C) cannot answer the question, nor can she discuss potential future market returns with the prospective client.

Question #4 of 200

Question ID: 1675458

Which of the following actions is *least likely* to prevent the misuse of insider information?

A) Monitoring all the phone calls made by the brokers.

B) Controlling relevant interdepartmental information.

C) Placing securities on a restricted list when the firm is in possession of material nonpublic information.

Question #5 of 200

Question ID: 1675394

A CFA Institute member works for Secure Securities, Inc., and plays rugby on the firm's rugby team. Secure Securities' team recently played the team of a rival firm. During the game, a fight broke out. The CFA Institute member was the instigator, but no one was seriously hurt. Is this a violation of I(A) concerning maintaining knowledge and complying with laws, rules, and regulations?

A) Yes, because the member is bound by the Code of Ethics.

B) No, because a fight at a rugby game is not a professional activity.

C) Yes, because the member could have hurt someone in the fight.

Question #6 of 200

Question ID: 1675398

Mary Kim practices in the economically advanced country of Oldasia as well as in the emerging-market country of Newasia. By regulation, Oldasia prohibits licensed investment advisors from trading in securities ahead of their clients. Newasia has no laws or regulations in this area. According to the CFA Institute Standards of Professional Conduct, Kim may:

A) trade simultaneously with her clients in Newasia only, as long as she has made full disclosure to her clients that she reserves the right to do this.

B) trade ahead of her clients in Newasia only.

C) not trade ahead of her clients in either country.

Question #7 of 200

Question ID: 1675421

Francisco Perez, CFA, CPA, is a portfolio manager for an investment advisory firm. Due to the prominence of his position, he is often invited to attend free marketing and educational events hosted by firms that seek to inform the investment community about their investment processes. One such firm, Unlimited Horizons, has invited Perez to attend free educational events that qualify for continuing education credits, which could help Perez maintain his CPA designation. Perez should *most likely*:

A) accept the invitation, as no cash compensation is involved and the primary intent is to educate and inform the investment community.

B) decline to attend the event, as it could result in a violation of Standard I(B): Independence and Objectivity.

C) decline to attend the event, as it could result in a violation of Standard I(A): Knowledge of the Law.

Chandra Patel, CFA, manages private client portfolios for QED Investment Advisers (QED). Part of QED's firmwide policy is to adhere to CFA Institute Standards of Professional Conduct in the management of all client portfolios, and to this end, the firm requires that client objectives, investment experience, and financial limitations be clearly established at the outset of the relationship. This information is updated at regular intervals not to exceed 18 months. The information is maintained in a written IPS for each client.

Anarudh Singh has been one of Patel's clients ever since she began managing money 10 years ago. Shortly after his regular situational update, Singh calls to inform Patel that his uncle is ill, and it is not known how long the uncle will survive. Singh expects to inherit "a sizable sum of money," mainly in the form of municipal bonds. His existing portfolio

allocation guidelines are for 75% to be invested in bonds. Singh believes that the expected inheritance will allow him to assume a more aggressive investment profile and asks Patel to begin moving toward a 75% allocation to equities. He is specifically interested in opening sizable positions in several technology firms, some of which have only recently become publicly traded companies. Patel agrees to begin making the changes to the portfolio, and the next day, she begins selling bonds from the portfolio and purchasing stocks in the technology sector as well as in other sectors. After placing the trade orders, Patel sends Singh an email to request that he come to her office sometime during the next week to update his IPS. Singh replies to Patel, saying that he can meet with her next Friday.

A few days before the meeting, however, Singh's uncle dies, and the portfolio of municipal bonds is transferred to Singh's account with QED. Patel sees this as an opportunity to purchase more technology stocks for the portfolio and suggests taking such action during her meeting with Singh, who agrees. Patel reviews her files on technology companies and locates a report on NetWin. The analyst's recommendation is that this stock is a "core holding" in the technology sector. Patel decides to purchase the stock for Singh's account, as well as several other wealthy client accounts with high risk tolerance levels, but due to time constraints, she does not review the holdings in each account. Patel does examine the aggregate holdings of the accounts to determine the approximate weight that NetWin should represent in each portfolio.

Because Patel has very recently passed the Level III examination and has been awarded her CFA charter, QED sends a promotional email to all of the firm's clients. The email states, "QED is proud to announce that Chandra Patel is now a CFA (Chartered Financial Analyst). This distinction, which is the culmination of many years of work and study, is further evidence of the superior performance you've come to expect at QED." Patel also places phone calls to several brokers that she uses to place trades for her accounts to inform them of her accomplishments, stating that she passed all three CFA examinations on her first attempts. One of the people Patel contacts is Max Spellman, a longtime friend and broker with TradeRight Brokers, Inc. Patel uses the opportunity to discuss her exclusive trading agreement with TradeRight for Singh's account.

When ordering trades for Singh's account, Patel's agreement with TradeRight for brokerage services requires her to first offer the trade to TradeRight, and then to another broker if TradeRight declines to take the trade. TradeRight never refuses the trades from any manager's clients. Patel established the relationship with TradeRight because Singh, knowing the firm's fee schedule relative to other brokers, asked her to do so. However, because TradeRight is very expensive and offers only moderate quality of execution, Patel is considering directing trades on Singh's account to BullBroker, which charges lower commissions and generally completes trades sooner than TradeRight.

Question #8 - 13 of 200

Question ID: 1675513

Do QED's policies comply with CFA Institute Standards of Professional Conduct with respect to the information contained within its clients' IPSs and the frequency with which the information is updated?

A) Neither policy complies with the Standards.

B) Both policies comply with the Standards.

C) Only one policy complies with the Standards.

Question #9 - 13 of 200

Question ID: 1675514

In light of Singh's comments during his telephone call to Patel before his uncle's death, which of the following actions that Patel can take comply with CFA Institute Standards of Professional Conduct?

A) Patel must adhere, in principle, to the existing strategy, but she may begin altering the account's composition based upon Singh's expectations.

B) Patel must adhere to the existing portfolio strategy until she meets with Singh to develop a new portfolio strategy based upon updated financial information, but she may place trades that are consistent with the existing strategy.

C) Patel must not place any trades in the account until she meets with Singh to develop a new portfolio strategy based on the updated information.

Question #10 - 13 of 200

Question ID: 1675515

According to CFA Institute Standards of Professional Conduct, may Patel reallocate Singh's portfolio toward technology stocks after his uncle dies but before the meeting with Singh?

A) Yes; the total value of the municipal bonds received into the account will be too large relative to the other assets in the portfolio.

B) Yes; the funds have actually been transferred, and the timing is no longer uncertain.

C) No; Patel and Singh must meet and revise the IPS and portfolio strategy before reallocating.

Question #11 - 13 of 200

Question ID: 1675516

Did Patel violate any CFA Institute Standards of Professional Conduct when she purchased the NetWin stock for Singh's portfolio or for the other clients' portfolios?

A) Patel violated the Standards for both Singh's portfolio and the other clients' portfolios.

B) Patel violated the Standards regarding either Singh's portfolio or the other clients' portfolios, but not both.

C) Patel did not violate the Standards regarding either Singh's portfolio or the other clients' portfolios.

Question #12 - 13 of 200

Question ID: 1675517

Which of the following statements regarding the promotional announcement of Patel passing the Level III exam and her phone calls about her accomplishment is *least accurate*?

A) The fact that a promotional announcement was made violates the restrictions on misrepresenting the meaning of the CFA designation.

B) The phone calls are not likely a violation unless she did not actually pass the exams on her first attempts.

C) The announcement violates the Code of Ethics because it implies that obtaining a CFA charter leads to superior performance.

Question #13 - 13 of 200

Question ID: 1675518

If Patel continues to trade with TradeRight, will she be violating any CFA Institute Standards of Professional Conduct?

A) No.

B) Yes; Patel failed to properly notify Singh that using TradeRight would lead to higher commissions and opportunity costs.

C) Yes; Patel is obligated to seek the best possible price and execution for all clients.

Question #14 of 200

Question ID: 1675411

Sometimes, a CFA Institute member simply *feels* a law has been violated by his firm, and sometimes, the member *knows* a law has been violated. Which of the following pairs of guidelines is correct with respect to the first step a member should take in each case? The member should first contact:

A) the firm's counsel if he feels a law has been violated, and contact the SEC if he knows a law has been violated.

B) the firm's counsel if he feels a law has been violated, and contact his supervisor if he knows a law has been violated.

C) his supervisor in the firm if he feels a law has been violated, and contact the firm's counsel if he knows a law has been violated.

Question #15 of 200

Question ID: 1675565

Randal Brooks is the chief economist for a large brokerage firm. In the aftermath of a national tragedy, Brooks feels that it is very possible that the stock market will drop significantly and not recover for several years. However, he does not believe that this is the most likely scenario, but merely that the risk of investing in equities has increased. He decides to write a market commentary to the brokerage clients that discusses the reasons why the market will remain stable and talks about why he, as a private citizen, feels patriotic. He does not mention the increase risk in equities. Brooks has:

A) not violated the Standards.

B) violated the Standards by not including all of the relevant factors in the research report and making patriotic statements.

C) violated the Standards by not including all of the relevant factors in the research report, but not by making patriotic statements.

Jose Gonzales, CFA, was recently hired as a quantitative analyst for StatInvest, Inc., a national investment research firm covering investments in the United States and Canada. Gonzales has worked in similar positions for 11 years. Before joining StatInvest, Gonzales worked as

an analyst and portfolio manager for Rutherford & Co., a much smaller company that served a regional market.

In his first assignment with StatInvest, Gonzales must put together a report that will be distributed to investors on a monthly basis. The report will center on investments within the North American industrial sector. Gonzales begins by rebuilding a quantitative stock selection model that he created and used while at Rutherford & Co. The model was originally designed to select stocks in the consumer products sector based on fundamental, technical, and quantitative factors. Gonzales has kept the primary algorithms for stock screening the same in the new model but has updated key identifiers to coincide with the industrial sector rather than the consumer products sector.

Once the model is complete, Gonzales backtests the model to determine its accuracy and consistency in selecting investments with positive performance. He determines that in each of the last 10 years, the model would have indicated a buy on the single-best-performing stock for the year. The model would have also indicated a buy on several stocks that had zero or slightly negative returns. Satisfied with the results, Gonzales begins to write his first report. The following are several excerpts from the report:

- "StatInvest's model for selecting industrial sector stocks is based on a computerized algorithm that selects securities according to a factor screening mechanism. Dozens of fundamental, technical, and quantitative factors are used as selection criteria to recommend long and short positions."
- "If StatInvest's industrial sector model had existed 10 years ago, investors would have had an average annual rate of return of 23% over the 10-year period. This estimate is based on backtesting of our model, which consistently recommended the top-performing stocks for each year over the past decade."
- "The current buy recommendations include Pearson Metals, Nuvo Chemical Co., and Luna Mining. However, if a significant number of market participants develop (or are already using) models similar to StatInvest's model, estimated returns on these three companies' common stock could be different from our expectations. These three investment opportunities will provide returns in excess of 15% over the next 12 months."

After the report is issued, Gonzales backs up his electronic files on a disk and has the disk archived in the firm's offsite storage facility along with all of the hard copy files supporting his model and the recommendation. Gonzales also begins to compile records to support investment recommendations he issued while working at Rutherford & Co. so that similar recommendations may be issued for StatInvest's consumer products division. All of the recommendations had an adequate basis at the time of issuance and were issued only a short time ago. After reanalyzing that relevant information and looking for significant changes in the company's financial positions, Gonzales determines that the

recommendations are still valid. After Gonzales compiles the supporting documentation, he issues the recommendations.

Several clients who have been subscribing to Gonzales's monthly report have expressed a desire to have their portfolios professionally managed. Gonzales refers all clients expressing such an interest to Samantha Ovitz, CFA, a portfolio manager and partner of Ryers & Ovitz, Inc. In return for the referrals, Ryers & Ovitz subscribes to several periodic reports published by StatInvest, including the industrial sector report written by Gonzales. Ovitz does not disclose the referral arrangement to clients and prospects, however, because the funds used to pay for StatInvest research are allocated from a general overhead account and not directly from client fees and because StatInvest's reports have a general disclaimer stating that "all referrals provided by StatInvest are in exchange for some benefit, whether monetary, in kind, or other compensation."

Ovitz is a board member of her local CFA society, and through her position, she often speaks to local media regarding the society's events as well as current issues in the investment community. Ovitz has often been quoted in the press expressing her disagreement with long-standing policies of CFA Institute. Despite her disagreements, however, Ovitz is also known to heavily promote the CFA designation in her dealings with the media. In a recent interview with a local newspaper, Ovitz noted the superior track record of CFA charterholders versus noncharterholders with respect to investment performance and ethical business practices. After reading the article, the chairman of the local CFA society board called Ovitz to thank her for doing such an excellent job of maintaining the prestigious image of the CFA designation.

Question #16 - 21 of 200

Question ID: 1675428

By developing the quantitative model to select stocks in the industrial sector, did Gonzales violate any CFA Institute Standards of Professional Conduct?

A) Yes, because the underlying premise of the model is not based on adequate research or a reasonable basis.

B) No.

C) Yes, because the basic model is the property of his former employer, and Gonzales has not obtained permission to use the model.

Question #17 - 21 of 200

Question ID: 1675429

In his first report on investments in the industrial sector, did Gonzales's description of the stock selection model or its historical results violate any CFA Institute Standards of Professional Conduct?

	Model description	Historical results
A)	No	Yes
B)	No	No
C)	Yes	Yes

Question #18 - 21 of 200

Question ID: 1675430

In his first report on investments in the industrial sector, did Gonzales's three investment recommendations violate any CFA Institute Standards of Professional Conduct?

A) Yes, because he failed to distinguish between fact and opinion regarding expected performance.

B) No, because he performed sufficient backtesting providing evidence that the model is able to predict winning stocks in the industrial sector.

C) Yes, because he provided an inherent guarantee of investment performance that cannot reasonably be expected.

Question #19 - 21 of 200

Question ID: 1675431

Regarding his record retention actions and his reissuance of past investment recommendations, has Gonzales violated any CFA Institute Standards of Professional Conduct?

	Record retention	Past recommendations
A)	No	No
B)	Yes	No
C)	No	Yes

Question #20 - 21 of 200

Question ID: 1675432

Does the referral arrangement between StatInvest and Ryers & Ovitz, Inc., violate any CFA Institute Standards of Professional Conduct?

A) Yes, because the referral arrangement is not properly disclosed to clients and prospects of Ryers & Ovitz, Inc.

B) Yes, because Ryers & Ovitz, Inc., pays for the research out of a general overhead account, which disadvantages some clients.

C) No.

Question #21 - 21 of 200

Question ID: 1675433

In her dealings with the local media, has Ovitz violated any CFA Institute Standards of Professional Conduct?

A) No, she has not violated anything.

B) Yes, because her comments regarding her disagreement with CFA Institute policies compromise the reputation of the organization.

C) Yes, because she has improperly exaggerated the meaning of the CFA designation.

Question #22 of 200

Question ID: 1675415

An analyst has been writing research reports on a company for many years. As part of the analyst's continuing research efforts, the analyst allows the firm to fly him to the firm's headquarters and put him up in the guest quarters that the company has for all corporate visitors. According to Standard I(B): Independence and Objectivity, this is:

A) not a violation under any circumstances.

B) a violation, no matter the circumstances.

C) a violation if the headquarters are within a reasonable driving distance from the analyst's home.

Question #23 of 200

Question ID: 1675402

The Standards of Professional Conduct explicitly outlines responsibilities to four groups. Which of the following is not a group mentioned in that list?

A) The Federal Reserve.

B) The investing public.

C) The profession.

Question #24 of 200

Question ID: 1675547

Brian Williams is a portfolio manager with Santo Capital and works on the Banks Company's account. Santo has a policy against accepting gifts over $500 from clients. The Banks portfolio has a fantastic year, and in appreciation, a Banks manager sends Williams a rare bottle of wine that he estimates is worth $300. Williams must:

A) return the bottle to the client.

B) inform his supervisor in writing that he received additional compensation in the form of the wine.

C) report the pension fund manager to the CFA Institute Professional Conduct Program.

Question #25 of 200

Question ID: 1675578

Nancy Westfall is an individual investment advisor who uses mutual funds for her clients. She typically chooses funds from a list of 40 funds that she has thoroughly researched. The Craigs, a married couple and a client, asked her to consider the Eligis fund for their portfolio. Westfall had not previously considered the fund because when she first conducted her research three years ago, Eligis was too small to be considered. However, the fund has now grown in value, and after doing thorough research on the fund, she finds the fund has suitable characteristics to be included in her acceptable list of funds. She puts the fund in the Craigs' portfolio, but not in any of her other clients' portfolios. The fund ends up being the poorest-performing fund in the Craigs' portfolio. Has Westfall violated any Standards? Westfall has:

A) not violated the Standards.

B) violated the Standards by not having a reasonable and adequate basis for making the recommendation.

C) violated the Standards by not dealing fairly with clients.

Question #26 of 200

Question ID: 1675534

The following information pertains to the Galaxy trust, a trust established by Stephen P. House and managed by Gamma Investment, LLC (Gamma):

- At the time the trust was established, House provided $5 million in cash to fund the trust, but Gamma was aware that 93% of his personal assets were in the form of Oracle stock.
- Gamma has been asked to view his funds and the trust as a single entity for planning purposes because House's will stipulates that all of his estate will pass to the trust upon his death.
- The investment policy statement, developed in September 1996, stipulates that the trust should maintain a short position in Oracle stock and use the proceeds to diversify the trust more adequately.
- House was able to sell all of his Oracle shares back to the corporation in January 1999 for cash.
- The policy statement redrawn in September 1999 continues to stipulate that the trust hold a short position in Oracle stock.
- House has given the portfolio manager in charge of the trust an all-expenses paid vacation package anywhere in the world each year at Christmas. The portfolio manager has reported this fact in writing to his immediate supervisor at Gamma.

Which of the following is *most correct*? The investment manager is:

A) not in violation of the Code and Standards for not properly updating the investment policy statement in light of the change in the circumstances, and is not in violation regarding the acceptance of the gift from House.

B) in violation of the Code and Standards by not properly updating the investment policy statement in light of the change in the circumstances, and is in violation regarding the acceptance of the gift from House.

C) in violation of the Code and Standards by not properly updating the investment policy statement in light of the change in the circumstances, but is not in violation regarding the acceptance of the gift from House.

Jose Gonzales, CFA, was recently hired as a quantitative analyst for StatInvest, Inc., a national investment research firm covering investments in the United States and Canada. Gonzales has worked in similar positions for 11 years. Prior to joining StatInvest, Gonzales worked as an analyst and portfolio manager for Rutherford & Co., a much smaller company that served a regional market.

In his first assignment with StatInvest, Gonzales must put together a report that will be distributed to investors on a monthly basis. The report will center on investments within the North American industrial sector. Gonzales begins by rebuilding a quantitative stock selection model that he created and used while at Rutherford & Co. The model was originally designed to select stocks in the consumer products sector based on fundamental, technical, and quantitative factors. Gonzales has kept the primary algorithms for stock screening the same in the new model but has updated the key identifiers to coincide with the industrial sector rather than the consumer products sector.

Once the model is complete, Gonzales backtests the model to determine its accuracy and consistency in selecting investments with positive performance. He determines that in each of the last 10 years, the model would have indicated a buy on the single best performing stock for the year. The model would have also indicated a buy on several stocks that had zero or slightly negative returns. Satisfied with the results, Gonzales begins to write his first report. Following are several excerpts from the report:

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- "The current buy recommendations include Pearson Metals, Nuvo Chemical Co., and Luna Mining. These three investment opportunities will provide returns in excess of 15% over the next 12 months. However, if a significant number of market participants develop (or are already using) models similar to StatInvest's model, returns on these three company's common stock could be different from our expectations."

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recommendations had an adequate basis at the time of issuance and were issued only a short time ago. After reanalyzing that relevant information and looking for significant changes in the company's financial positions, Gonzales determines that the recommendations are still valid. After Gonzales compiles the supporting documentation, he issues the recommendations.

Several clients who have been subscribing to Gonzales's monthly report have expressed a desire to have their portfolios professionally managed. Gonzales refers all clients expressing such an interest to Samantha Ovitz, CFA, a portfolio manager and partner of Ryers & Ovitz, Inc. In return for the referrals, Ryers & Ovitz subscribes to several periodic reports published by StatInvest, including the industrial sector report written by Gonzales. Ovitz, however, does not disclose the referral arrangement to clients and prospects because the funds used to pay for StatInvest research are allocated from a general overhead account and not directly from client fees, and because StatInvest's reports have a general disclaimer stating that "all referrals provided by StatInvest are in exchange for some benefit, whether monetary, in kind, or other compensation."

Ovitz is a board member of her local CFA Society and, through her position, often speaks to local media regarding the society's events as well as current issues in the investment community. Ovitz has often been quoted in the press expressing her disagreement with long-standing policies of CFA Institute. Despite her disagreements, however, Ovitz is also known to heavily promote the CFA designation in her dealings with the media. In a recent interview with a local newspaper, Ovitz noted the superior track record of CFA charterholders versus non-charterholders with respect to investment performance and ethical business practices. After reading the article, the chairman of the local CFA Society board called Ovitz to thank her for doing such an excellent job of maintaining the prestigious image of the CFA designation.

Question #27 - 32 of 200

Question ID: 1675586

By developing the quantitative model to select stocks in the industrial sector, did Gonzales violate any CFA Institute Standards of Professional Conduct?

A) Yes, because the basic model is the property of his former employer and Gonzales has not obtained permission to use the model.

B) No.

C) Yes, because the underlying premise of the model is not based on adequate research or a reasonable basis.

Question #28 - 32 of 200

Question ID: 1675587

In his first report on investments in the industrial sector, did Gonzales's description of the stock selection model or its historical results violate any CFA Institute Standards of Professional Conduct?

A) Either the model description or its historical results were violations of the Standards but not both.

B) Both the model description and its historical results were violations of the Standards.

C) Neither the model description nor its historical results were violations of the Standards.

Question #29 - 32 of 200

Question ID: 1675588

In his first report on investments in the industrial sector, did Gonzales's three investment recommendations violate any CFA Institute Standards of Professional Conduct?

A) Yes, because he provided an inherent guarantee of investment performance that cannot reasonably be expected.

B) Yes, because he failed to distinguish between fact and opinion with regard to expected performance.

C) No.

Question #30 - 32 of 200

Question ID: 1675589

With regard to his record retention actions and his reissuance of past investment recommendations, has Gonzales violated any CFA Institute Standards of Professional Conduct?

A) Either his record retention or past recommendations are violations of the Standards but not both.

B) Neither his record retention nor past recommendations are violations of the Standards.

C) Both his record retention and past recommendations are violations of the Standards.

Question #31 - 32 of 200

Question ID: 1675590

Does the referral arrangement between StatInvest and Ryers & Ovitz, Inc., violate any CFA Institute Standards of Professional Conduct?

A) Yes, because the referral arrangement is not properly disclosed to clients and prospects of Ryers & Ovitz, Inc.

B) Yes, because Ryers & Ovitz pays for the research out of a general overhead account, which disadvantages some clients.

C) No.

Question #32 - 32 of 200

Question ID: 1675591

In her dealings with the local media, has Ovitz violated any CFA Institute Standards of Professional Conduct?

A) Yes, because she has improperly exaggerated the meaning of the CFA designation.

B) Yes, because her comments regarding her disagreement with CFA Institute policies compromise the reputation of the organization.

C) No.

Question #33 of 200

Question ID: 1675393

Maria Valdes, CFA, is an analyst for Venture Investments in the country of Newamerica, which has laws prohibiting the acceptance of any gift from a vendor if the gift exceeds $250. Valdes has evidence that her Venture Investments colleague, Ernesto Martinez, CFA, has been receiving gifts from vendors in excess of $250.

Valdes is obligated to:

A) disassociate herself from the activity, urge Venture to persuade Martinez to cease the activity, and inform CFA Institute of the violation.

B) disassociate herself from the activity, and urge Venture to persuade Martinez to cease the activity.

C) disassociate herself from the activity, urge Venture to persuade Martinez to cease the activity, and inform CFA Institute and regulatory authorities of the violation.

Question #34 of 200

Question ID: 1675385

An analyst, who is a CFA charterholder, is working in a foreign country. Which of the following statements is correct? The analyst is:

A) governed by CFA Institute's Code and Standards.

B) governed by the laws and standards of the country in which he is living and working.

C) covered by the strictest of the following laws and rules: his own country's, the foreign country's, or CFA Institute's Code and Standards.

Question #35 of 200

Question ID: 1675423

CFA Institute members are required to do all of the following except:

A) receive permission from their employer before engaging in investment consulting outside the firm.

B) disclose, in writing, all observed violations of security laws and regulations to the proper regulatory authorities.

C) inform their employer, clients, and potential clients of benefits received for recommending products or services.

Question #36 of 200

Question ID: 1675464

Randy Wesson is a research analyst for a large brokerage company following the chemical industry. Wesson receives a phone call from his nephew, who works part time in an airport hospitality center for an airline while going to business school. Many meetings take place at the center on any given day. The nephew tells Wesson that, while bringing some faxes into a conference room, he overheard executives of Hunt Chemical talking about the likely divestiture of one of their subsidiaries. His nephew wants to know whether that will be good for Hunt. Wesson should:

A) write a research report describing that he learned about the likely divestiture from his nephew, who works at the hospitality center.

B) write a research report describing the possibility of a divestiture, but not mention how he learned about it.

C) not use the information.

Question #37 of 200

Question ID: 1675577

Scott LaRue is a portfolio manager for Washington Advisors. Washington has developed a proprietary model that has been thoroughly researched and is known throughout the industry as the Washington model. The model is purely quantitative and screens stocks into buy, hold, and sell categories. The basic philosophy of the model is thoroughly explained to clients. The director of research frequently alters the model based on rigorous research—an aspect that is well explained to clients, although the specific alterations are not continually disclosed. Portfolio managers then make specific sector and security holding decisions, purchasing only securities that are indicated as buys by the model. LaRue feels the model would be improved by adding some factors, but he has not fully tested this new version of the model. LaRue discloses his model to his own clients, but not to his supervisor. LaRue is:

A) not violating the Standards.

B) violating the Standards by not having a reasonable and adequate basis for his investment recommendation.

C) violating the Standards by not considering the appropriateness of the recommendations to clients.

Question #38 of 200

Question ID: 1675566

Jim Crockett is a portfolio manager for Miami Advisors and reports to Vicki Tubbs, the chief investment officer. Miami has developed a proprietary model that has been thoroughly researched and is known throughout the industry as the Miami model. The model is purely quantitative and takes a given set of client characteristics and universe of potential securities and forms a portfolio for the investor. Individual portfolio managers are responsible for selecting securities to fit into the model based on recommendations from the firm's research department and the managers' own judgment. Because of the specific nature of the inputs to the model, each manager is responsible for applying the model on his or her own computer. The basic philosophy of the process is thoroughly explained to clients. Crockett does not understand the basics of the model, but feels that because it provides pure quantitative output, he does not need to understand it. However, he misapplies the model for several of his clients. In reviewing some of Crockett's portfolios, Tubbs finds the errors and points them out to Crockett. Which of the following statements regarding Tubbs and Crockett is correct?

A) Crockett has violated the Standards by not exercising diligence and thoroughness in making investment recommendations.

B) Crockett has violated the Standards by not considering the appropriateness and suitability of the investment for his clients.

C) Tubbs has violated the Standards by failing to supervise adequately.

Joan Platt, CFA, operates an investment firm in New York, but maintains an office in the country of Xania. Platt's firm invests on its clients' behalf in both domestic and international stocks and bonds. Platt's employees include two analysts: Paula Linstrom, CFA, and Hershel Wadel, CFA. Both analysts report to Platt directly. Thorvald Knudsen, CFA, manages the international bond portfolio.

Xania recently established a stock market, which is not very efficient. None of the Xanian stocks trade in the U.S. market. Xania legally permits the use of material inside information. Platt believes that using inside information would help her compete against other Xanian investment advisers, and it would help some of her Xanian clients reach their investment objectives. Platt instructs Wadel to write a research report on Gamma Company (Gamma). Wadel's wife inherited 500 shares of Gamma from her father when he died five years ago. Gamma stock currently trades at $35 per share. Wadel does not believe that informing Platt about his wife's inheritance is necessary.

Doris Black, one of Wadel's long-time clients, verbally promised Wadel that he could use her vacation home for a week during skiing season if the return on her portfolio exceeded its benchmark by two percentage points during the next year. Black also promised to reimburse Wadel for his travel expenses. Because Wadel is the sole manager of Black's portfolio, he

says nothing to Platt about his arrangement with Black. Platt instructs Linstrom to write a research report on Delta Enterprises (Delta). Delta's stock is widely held by institutional and individual investors. Linstrom does not own any Delta shares, though one of her friends owns 100 shares of Delta. Linstrom does not believe that informing Platt about her friend's ownership of Delta shares is necessary.

Linstrom has a client, Mandy Miller, with a large account. Miller has set a return goal for her portfolio, promising Linstrom that if the portfolio exceeded the target return, she would let Linstrom use her home in the Caribbean in December. Linstrom sent an email to Platt describing Miller's promise to her. Platt promptly replied to her email granting her permission to enter the agreement. In February, Linstrom was able to arrange for the purchase of Brady Company (Brady) bonds at a significant discount to market value. The purchase was made in three blocks at 13%, 15%, and 12% discounts to market value. Linstrom allocated the 15% discount block of Brady to Miller's account and the balance to her remaining clients.

Knudsen's uncle, Gustaf Jensen, owns a construction firm that has extra cash. When Jensen saw Knudsen at a family event last November, he asked Knudsen to give him advice about purchasing domestic bonds for the construction firm. In exchange for the advice, the construction firm would pay Knudsen $5,000 per year. At the same event, Knudsen's cousin, Hanna Morgensen, approached Knudsen and asked if he would manage Morgensen's apartment building for a fee of 10% of the gross rents. Knudsen agreed to both Jensen's and Morgensen's proposals. Knudsen informed Platt of Jensen's request, but not about the Morgensen arrangement.

Question #39 - 42 of 200

Question ID: 1675550

Which of the following statements about Linstrom and Wadel's conduct regarding their research reports is *most accurate*?

A) Both Linstrom and Wadel violated Standard VI(A): Disclosure of Conflicts.

B) Wadel violated Standard VI(A): Disclosure of Conflicts, and Linstrom did not violate Standard VI(A).

C) Wadel did not violate Standard VI(A): Disclosure of Conflicts, and Linstrom did violate Standard VI(A).

Question #40 - 42 of 200

Question ID: 1675551

What is the obligation, if any, to disclose Wadel's arrangement with Black?

A) Wadel need not disclose anything to his clients or to Platt because he is violating no fiduciary duty.

B) Wadel must disclose the arrangement to Platt, but he is not required to disclose the arrangement to his other clients.

C) Wadel must disclose the arrangements to his clients and to Platt only if he believes it will create a conflict with his responsibilities to other clients.

Question #41 - 42 of 200

Question ID: 1675552

Knudsen violated:

A) Standard IV(B): Additional Compensation with relation to the Jensen deal, but he did not violate the Standard with relation to the Morgensen deal.

B) no Standards with regard to both the Jensen and Morgensen deals.

C) Standard IV(B): Additional Compensation with relation to the Morgensen deal.

Question #42 - 42 of 200

Question ID: 1675553

The handling of the Miller account:

A) did not violate the Code and Standards because the appropriate disclosures were made.

B) violated Standard IV(B): Additional Compensation Arrangements, Standard III(B): Fair Dealing, and Standard IV(C): Responsibilities of Supervisors.

C) violated Standard III(B): Fair Dealing, but not Standard IV(B): Additional Compensation Arrangements.

Question #43 of 200

Question ID: 1675424

Jane Silverman, CFA, is a popular investment analyst who performs research and then issues buy, sell, and hold recommendations on U.S. equities as part of her employment at an investment firm. Much of her popularity is due to her active blog and X (Twitter) posts. She makes a point of maintaining records for all of her work (including emails and text messages), even though her employer does not have any policies in that regard, and there are no local regulatory guidelines provided either. Last week, a competing firm offered Silverman a similar job, and she is seriously considering the offer. Which of the following statements regarding record retention in relation to Silverman's employment activities is correct?

A) The CFA Institute requires that Silverman maintain supporting records for at least seven years.

B) The CFA Institute requires that Silverman maintain supporting records of the emails and text messages, but not the blog posts or X (Twitter) posts.

C) The CFA Institute requires that Silverman contact the covered company to re-create supporting records if she goes to work for a new employer.

Michael Pennington is the senior vice president of equity investments at Alpha Investment Advisors, Inc. (AIA). He manages a team of analysts and portfolio managers and is responsible for maintaining and developing client relationships. AIA is located in Belgium and provides investment management services to high-net-worth individuals. Pennington is also a Level III Candidate for the CFA designation.

One of Pennington's clients is the Flanders family. Pennington had a long relationship with Helmut Flanders. Before Flanders's untimely death, he gave Pennington full discretion over his portfolio based on an investment policy statement that had been refined continuously over the years:

- Flanders was the president of a publicly traded manufacturing company, Allux, and 20% of his portfolio's assets were invested in Allux equity. His contract with Allux prohibited selling his Allux shares while he was employed.
- Flanders had little liquidity needs. His children were grown, and his salary at Allux was sufficient to cover his annual expenditures as well as contribute to his investment portfolio.
- A former accountant, Flanders had been extremely knowledgeable and comfortable with the investment decision-making process.
- Pennington owns 10,000 shares of Allux and serves on Allux's board.
- Pennington played golf with Flanders on a regular basis—and, with Flanders's help, developed many client relationships from these outings.

AIA has an agreement with a local brokerage firm, First Brokerage, owned by Pennington's sister to place all AIA trades through First Brokerage:

- Flanders agreed in writing that all trades in his portfolio would be directed to First Brokerage.
- Pennington purchased new carpets for his office with soft dollars. He believes that his managers make better investment decisions when their environment is pleasant and comfortable.
- Pennington attended an industry conference in the Bahamas with soft dollars. The program is devoted to improving management of the investment advisory firm. He believes that a well-run firm makes better investment decisions.
- Pennington consistently uses soft dollars to purchase research reports from an independent research firm that does in-depth analysis of a company's financial reporting. Several of his managers have commented on the quality and usefulness of these reports to their analysis and decision-making.

Pennington has an appointment to meet with Flanders's widow, Elise, who, as an artist, left management of their financial assets to her husband. She is meeting with Pennington to better understand her financial position.

Question #44 - 49 of 200

Question ID: 1675506

Which of the following Standards is *most* relevant regarding Pennington's meeting with Elise?

A) Standard III(A): Loyalty, Prudence, and Care.

B) Standard III(C): Suitability.

C) Standard III(E): Preservation of Confidentiality.

Question #45 - 49 of 200

Question ID: 1675507

Standard VI(A), Disclosures of Conflicts, requires Pennington to disclose all matters, including beneficial ownership of securities of other investments, that could be expected to impair the member's ability to make unbiased and objective recommendations. Which of the following matters would *least likely* be disclosed to Elise?

A) Pennington played golf with Helmut Flanders on a regular basis and developed client relationships from those golf outings.

B) Pennington owns shares in Allux.

C) AIA has a soft dollar arrangement with a brokerage firm owned by Pennington's sister.

Question #46 - 49 of 200

Question ID: 1675508

Which of the following *best* describes Pennington's compliance with the CFA Institute Standards regarding his use of soft dollars?

A) The purchase of both research reports and carpeting are allowable uses of soft dollars.

B) The purchase of research reports is an allowable use of soft dollars.

C) The purchase of research reports and attending the conference are allowable uses of soft dollars.

Question #47 - 49 of 200

Question ID: 1675509

Pennington would like to continue to direct trades from Elise's portfolio to his sister's brokerage firm. To continue with this arrangement and comply with the CFA Institute Standards, which of the following disclosures are required?

A) Pennington must disclose that directed brokerage arrangements that require the investment manager to commit a certain percentage of brokerage might affect his ability to seek to obtain best execution.

B) Pennington must disclose policies with respect to all soft dollar arrangements and receive written consent from Elise that she understands the consequences if he is not seeking best price and execution through First Brokerage.

C) Pennington must clearly disclose that his duty as the investment manager is to continue to seek to obtain best execution.

Question #48 - 49 of 200

Question ID: 1675510

After determining Elise's risk and return objectives, liquidity needs, tax considerations, and unique circumstances, Pennington has decided that he must reduce Elise's holding of Allux shares. He has several other clients, whom he met through Flanders, who also have significant holdings in Allux. Pennington has also decided to reduce his own holdings in Allux because his term as a director of Allux will be up in June. He does not plan to seek reappointment, but as a member of the audit committee, he is privy to information about a tender offer. Pennington realizes this is a complex situation.

Of the following Standards, **determine** which would *least likely* help Pennington decide what actions with respect to selling shares of Allux would be in compliance with the CFA Institute Standards of Practice.

A) Standard III(C): Suitability.

B) Standard III(B): Fair Dealing.

C) Standard VI(A): Disclosure of Conflicts.

Question #49 - 49 of 200

Question ID: 1675511

Because Pennington is a director of Allux and a member of the audit committee, what additional Standard is specifically applicable to Pennington's decision to sell his and his clients' shares of Allux?

A) Standard IV: Duties to Employers.

B) Standard VII: Responsibilities as a CFA Institute Member or CFA Candidate.

C) Standard II: Integrity of Capital Markets.

Question #50 of 200

Question ID: 1675376

Josh LeBlanc, a CFA charterholder, is an investment analyst for a small stock brokerage firm. He wants to acquire and maintain knowledge about applicable laws, rules, and regulations relating to his professional activities. According to the CFA Institute Standards of Professional Conduct, which of the following ways is *least likely* to meet compliance procedures?

A) Keep informed about changes in applicable laws, rules, and regulations.

B) Rely on past practices followed within his firm.

C) Review written compliance procedures on a regular basis.

Question #51 of 200

Question ID: 1675548

Chuck Daniels has just been hired to manage a security analysis group for Aaron Asset Management. Daniels performed a similar function at another firm and finds the compliance system at Aaron inadequate. He develops a system that he feels is appropriate, but senior management tells him he will have to wait six months to implement the system. Daniels should:

A) protest in writing the delay, listing the potential dangers that can occur.

B) decline in writing to accept supervisory responsibility until a satisfactory compliance system is put into place.

C) resign his position immediately.

Question #52 of 200

Question ID: 1675482

Jack Stevens is employed by a company to provide investment advice to participants in the firm's 401(k) plan. One of the investment options is a stable value fund run by the company. Stevens's research indicates that the fund is far riskier and less liquid than the typical stable value fund and has a fundamental asset value lower than book value of the assets. He tells Jessica Cox, the head of employee benefits, about his research, and he indicates that he will advise new employees to not invest in the fund and will advise employees who already own the fund to reduce their holdings in the fund. Cox points out that the fund is not in any current danger because there are very few redemptions requested of the fund. Cox also states that a sell recommendation may become a self-fulfilling prophecy, causing investors to redeem their shares and forcing the fund to liquidate, which in turn will cause the remaining investors to receive less than their promised value. Stevens agrees with this assessment and feels his fiduciary duty is to all employees. Stevens should:

A) tell investors he cannot give advice on the fund because of a conflict of interest.

B) continue to recommend that new investors do not invest in the fund and that existing investors reduce their holdings.

C) continue to recommend that new investors do not invest in the fund, but not advise existing investors to reduce their holdings.

Mary Montpier, CFA, is an equity analyst located in the Malaysia office of World Class Advisers. The firm provides investment advice and financial planning services globally to institutional and retail clients. The Malaysia office was opened last year to provide additional international investment opportunities for U.S. clients. Montpier covers small-cap stocks in the region. Montpier's supervisor, Rick Reynolds, CFA, works in New York.

Jim Taylor is an analyst in New York who works at World Class Broker-Dealer, a sister company of World Class Advisers. Taylor covers health care and biotech stocks for the firm. Taylor recently completed Level I of the CFA examination and is registered for the Level II examination next year. Taylor works for John James, CFA.

Through her interaction with other analysts in Malaysia, Montpier learns that the use of material, nonpublic information is common practice in analyst research reports and recommendations, and is not prohibited by law in Malaysia. Montpier has acquired material, nonpublic information on the research pipeline of Circuit Secrets, a Malaysian semiconductor company. The nonpublic information makes the company seem like a fine investment. After extensive research through traditional means, Circuit Secrets appeared to be fully valued relative to its growth potential—until Montpier found the nonpublic information.

In preparation for a client meeting, James asks Taylor to prepare a research report on attractive companies in the health care industry. Because Taylor is busy preparing for company conference calls, James tells him to "throw something together." To meet James's request, Taylor obtains reports on Immune Health Care and Remedy Corp., two companies that he likes, but has not researched in depth. Taylor takes the original reports (which were prepared by a small brokerage firm in the Netherlands), adds some general industry information, incorporates World Class's proprietary earnings-growth model, and submits "strong buy" recommendations to James for the stocks. Although written procedures require James to review all analyst reports before release, time constraints consistently prevent him from reviewing the reports before distribution.

Montpier is proud of her CFA charter. In fact, she often boasts that she is one of the elite members of the CFA Institute that passed all three exams consecutively without failing. Taylor is also proud of the CFA program. He told his friends and family that the CFA designation is globally recognized in the field of investment management and research. Furthermore, Taylor states that he believes the program will enhance his portfolio management skills and further his career development.

In her free time, Montpier has begun consultation for members of a local investment club. The club is in the process of developing an appropriate compensation package for her services, which to date have included financial planning activities and investment research. Montpier informs the investment club that she has a full-time job at World Class Advisers,

which offers similar services. The investment club gave Montpier written permission to consult for them despite her full-time work.

To gain insight on biotech stocks, Taylor registers for an upcoming asthma study conducted by Breakthrough Corp., through which he and others will be the subject of testing for the efficacy of several new drugs. On his application, long-time asthma sufferer Taylor indicates that he has the appropriate medical condition for the study and signs a confidentiality agreement. During the study, a researcher shows Taylor a spreadsheet detailing the progress of Breakthrough's research pipeline. Two of the new drugs on which Breakthrough is awaiting regulatory approval have serious negative side effects in patient testing. This information confirms suspicions Taylor had developed after extensive research and conversations with company executives regarding nonmaterial, nonpublic information, though he was not certain about the names of the drugs until he saw the spreadsheet. At the conclusion of the study, Taylor releases a report detailing the drugs' side effects and recommends that clients "sell" Breakthrough Corp.

Over the next two weeks, Breakthrough releases information that the drugs in question have been held up by a regulatory agency pending additional investigation. The stock plunges more than 30% on the news.

Question #53 - 58 of 200

Question ID: 1675466

Which of the following is a violation of the Code and Standards?

A) Taylor sends out a resume referring to himself as a Level II CFA candidate and indicating his intention to take the Level II test in June.

B) James has dinner with Taylor and promises to provide Taylor with three weeks off in May to study for the CFA exam and offer some test-taking tips.

C) Reynolds approves Montpier’s report on Circuit Secrets immediately, but tells his traders to wait a week before buying the stock themselves.

Question #54 - 58 of 200

Question ID: 1675467

Which of the following statements about Montpier's analysis of Circuit Secrets is correct?

A) Montpier’s best course of action is to initiate coverage of Circuit Secrets as a “hold” and attempt to get the company to disclose the nonpublic information.

B) Montpier could satisfy the requirements of Standard II(A): Material Nonpublic Information by producing a research report on Circuit Secrets for Malaysian clients, but not making it available to U.S. clients.

C) If Montpier prepares a research report for all World Class clients recommending Circuit Secrets as a buy, but does not reveal the nonpublic information, she has still violated Standard II(A): Material Nonpublic Information.

Question #55 - 58 of 200

Question ID: 1675468

With regard to Standard VII(B): Reference to CFA Institute, the CFA Designation, and the CFA Program:

A) Montpier is in compliance, and Taylor is in compliance.

B) neither Montpier nor Taylor is in compliance.

C) Montpier is not in compliance, and Taylor is in compliance.

Question #56 - 58 of 200

Question ID: 1675469

Which of the following actions could Taylor take to ensure he is not in violation of Standard I(C): Misrepresentation?

A) Base his report on information from Value Line and Standard & Poor's reports rather than research from rival analysts.

B) Initiate coverage of Immune Health Care and Remedy Corp. as holds, not strong buys, until he has time to do further research.

C) Just use excerpts from the original reports, rather than copying the whole reports.

Question #57 - 58 of 200

Question ID: 1675470

Which of the following statements regarding Standard IV(A): Loyalty to Employer is correct?

A) Neither Taylor nor Montpier is in violation of the Standard.

B) By accepting compensation for his role in the medical study, Taylor is violating the Standard.

C) Despite getting written permission from her client to consult, Montpier is not in compliance with the Standard.

Question #58 - 58 of 200

Question ID: 1675471

Taylor's actions regarding Breakthrough Corp.:

A) violate Standard II(A): Material Nonpublic Information because the information was not in the public domain.

B) did not violate Standard I(D): Misconduct because he did not misappropriate the information.

C) do not violate Standard II(A): Material Nonpublic Information because he was only confirming what he already suspected.

Question #59 of 200

Question ID: 1675489

A company has a defined benefit plan that is currently underfunded. The plan sponsor has instructed the portfolio manager of the plan to invest more aggressively to bring the funding level up to an adequate amount. Which of the following statements *best* describes the course of action the portfolio manager should take? The portfolio manager should:

A) not invest more aggressively because this may expose the plan to too much risk and may not be in the best interest of the plan's beneficiaries.

B) not invest more aggressively because this is not the method used to increase the funding level of a plan.

C) invest more aggressively because his fiduciary duties lie with the plan sponsor.

Question #60 of 200

Question ID: 1675426

Jim Johnson is a compliance officer at Rialto, Inc. (Rialto), a full-service investment management firm based in New York. The firm has equity analysts who produce research reports as well portfolio managers who are in constant contact with clients and occasionally receive gifts from clients. The equity analysts are able to perform their due diligence using external sources of information, such as public disclosure documents, as well as internal sources of information, such as those provided by company management. To ensure Rialto's employees are complying with the standard on independence and objectivity, what must Johnson do?

A) Require equity analysts to gather information from both external and internal sources.

B) Require a strict value limit to be established for acceptable gifts from clients.

C) Require analysts to be compensated for writing issuer-paid research reports on a fixed-fee basis.

Lon Smith is an analyst in the Research Department of Lincoln & Co., a large investment bank. Smith has just completed a temporary assignment in Lincoln's corporate finance department related to underwriting a debt offering for FinSoft, a computer software company. FinSoft's recent operating record has reflected lagging sales volume and heavy product development expenses. Smith has marked his FinSoft notes and worksheets "CONFIDENTIAL/CORPORATE FINANCE DEPARTMENT" and sent them to the company file in the research department. This material reveals that FinSoft is about to receive a major contract for an innovative software program that will have a very significant positive impact on earnings as well as on the company's visibility and stature in the industry.

Jay Jones, a CFA candidate and a portfolio manager for Lincoln, has come upon these notes and worksheets while reviewing the FinSoft research file. Jones had been considering sale of the stock from the accounts under his management, but he realizes after reading the file material that the recent weakness in operating results is about to be reversed—and that the company's prospects are actually quite favorable. Perhaps, he thinks, he should add to his clients' FinSoft positions instead of considering their sale.

Jones briefly reflects on the matter of "inside information" in relation to perhaps buying more of the stock instead of selling it, but his recollection is hazy, and Lincoln has no formal guidelines on the subject to which he can refer. Based on the circumstances, Jones believes he is free to use this new knowledge for the benefit of Lincoln's clients.

Question #61 - 66 of 200

Question ID: 1675444

Based on CFA Institute Standards of Professional Conduct, which of the following is *least accurate*?

A) The information is material because the new software is likely to significantly increase FinSoft's future earnings.

B) There is misappropriation of information by Jones because the file is marked "CONFIDENTIAL/CORPORATE FINANCE DEPARTMENT."

C) There is no breach of duty if traded on Smith's report because Jones did not conduct the research that produced the information.

Question #62 - 66 of 200

Question ID: 1675445

Based on the information presented in this situation, Jones has an obligation to do all of the following except:

A) wait to trade on the information until after a reasonable period has passed.

B) encourage public dissemination of the information.

C) encourage his employer to review the compliance procedures as they relate to material nonpublic information issues.

Question #63 - 66 of 200

Question ID: 1675446

Based on the information presented, Lincoln should adopt a set of guidelines on inside information that include each of the following except:

A) develop criteria for identifying inside information.

B) prohibit exchange of personnel, even temporary, between investment banking and institutional money management departments.

C) have in place a supervisor or compliance officer who has the authority and responsibility to decide whether information is material and nonpublic.

Question #64 - 66 of 200

Question ID: 1675447

Which of the following policies would be the *most appropriate* way for Lincoln & Co. to conform to the CFA Institute Standard II(A) concerning material nonpublic information?

A) Require that the compliance department implement increased scrutiny of the interchange of information between the research department and the investment banking division.

B) Permanently prohibit the research department from issuing recommendations on FinSoft.

C) Prevent the exchange of information between the investment banking and research department by creating information barriers between these groups.

Question #65 - 66 of 200

Question ID: 1675448

At a local CFA society event, Jones mentions to Mohammed Bamyeh, a friend and financial advisor, that FinSoft is about to receive a major new contract that has yet to be announced. Later that day, Bamyeh takes a large long position in a technology ETF that has a large weight for FinSoft stock. Which of the following statements is *most accurate*?

A) Bamyeh violated the Code and Standards by investing in the ETF.

B) Bamyeh did not violate the Code and Standards because Bamyeh did not directly invest in any FinSoft securities.

C) Jones did not violate the Code and Standards because the comments made to Bamyeh were on a personal rather than professional basis.

Question #66 - 66 of 200

Question ID: 1675449

When recommending the purchase of FinSoft company shares to Bamyeh, Jones *least likely* violated the Standard relating to:

A) loyalty to employer.

B) integrity of capital markets.

C) diligence and reasonable basis.

Question #67 of 200

Question ID: 1675405

The Securities and Exchange Board of India (SEBI) has just enacted a new stock trading rule. SEBI will give brokers a 10-day grace period, during which violators of the rule will be immediately notified and given a chance to remedy their situation to comply with the new rule. If a CFA Institute member located in India or doing business in India unknowingly violates the rule and then remedies the situation within the 10-day grace period, has the member violated Standard I(A)?

A) No, because the member remedied the situation.

B) Yes, because the member did not maintain knowledge and know of the rule.

C) No, because the member unknowingly broke the rule.

Question #68 of 200

Question ID: 1675535

Patricia Young is an individual investment advisor who uses a computer model to place each of her clients into an appropriate portfolio. The model analyzes a range of simulated portfolios and computes for each the probabilities of achieving various levels of return. Young then selects the portfolio that provides the highest probability of achieving the clients' minimum required return. By using this process, Young is:

A) violating Standard I(C): Misrepresentation.

B) not violating the Standards.

C) violating Standard III(C): Suitability.

Question #69 of 200

Question ID: 1675484

Which of the following statements about a member's use of client brokerage commissions is not correct? Client brokerage commissions:

A) may be directed to pay for the investment manager's operating expenses.

B) should be commensurate with the value of the brokerage and research services received.

C) should be used by the member to ensure that fairness to the client is maintained.

Question #70 of 200

Question ID: 1675377

Don Roberts, a CFA Institute member, resides in Country L, where the securities laws and regulations are less strict than the CFA Institute Code and Standards. Roberts also does business in Country N, which has no securities laws or regulations. Thus, Country N has no laws prohibiting the use of material nonpublic information. Roberts has clients in both Country L and N. Country L's law states that the law of the locality where business is conducted governs. According to CFA Institute Standards of Professional Conduct about the use of material nonpublic information, Roberts may:

A) take investment action based on this information only for his clients in Country N, but not for his clients in Country L or himself.

B) take investment action based on this information for clients in both Country N and Country L, and for himself.

C) not take investment action on the basis of this information.

Question #71 of 200

Question ID: 1675563

Kim Lee is a research analyst at Superior Investments and is researching a biotech firm specializing in the analysis of mad cow disease. While touring company facilities and meeting with management, she learns that they believe they may have found a way to reverse the disease. Moreover, one manager conjectured, "Suppose that we reversed the disease in someone who didn't even have it? We might then be able to boost that individual's IQ into the stratosphere!" After returning to her office, Lee issues a research report describing the compound as an "IQ booster with huge potential." This statement:

A) is allowable, but only if quoted verbatim from her conversations with management.

B) lacks a reasonable and adequate basis in fact.

C) is reasonable, given the information she was provided by the company.

Carla Tonis is an investment analyst at Target Investments, Inc. (Target), an investment management firm that helps recent college graduates to begin investing in the stock market. Tonis wants to earn the CFA designation and has passed the Level I CFA exam. She plans to take the Level II exam a year from now, but she has not enrolled in the next scheduled exam. She is also a member of CFA Institute.

A group of graduates from one university have been so happy with Tonis's investment advice that they made her an honorary member of their alumni association, which includes nonmonetary benefits. They recently gave her complimentary tickets to a major athletic event of the school and allowed her to stay at the school's alumni house for free. While at the athletic event, Tonis overhears two alumni as they discuss plans for their firm to begin marketing a major new product that should be very profitable for the firm. From the context of what Tonis overhears and knows, she concludes that this is nonpublic information. Tonis believes she is the only one to hear the discussion. She knows a mutual fund that has a large holding in the firm. It is a mutual fund that she has often recommended to her clientele.

While at Target, Tonis uses Target's computers, software, and data to develop a computer model that she claims can predict stock market returns. She tests the model with market data from the previous 12 months and recommends to her supervisor that Target should use the model to aid in the investment process for the firm's clients. However, the supervisor rejects the use of the model because it has not been backtested with a sufficient amount of data. Tonis believes strongly in the predictive power of her model and decides to form her own investment firm. It is her intention to use the model as the basis of her investment advice to her new clients. She has compiled a list of clients who had previously been rejected by Target and begins soliciting them as her potential clients. She tells the prospects about the model and how it performed in the backtests.

Question #72 - 77 of 200

Question ID: 1675541

Which of the following statements would not be in violation of the Code and Standards?

A) Tonis is a member of CFA Institute and would become a CFA upon completion of the Level III exam.

B) Tonis is a member of CFA Institute, has passed her Level I exam of the CFA program, and plans to take her Level II exam next year.

C) Tonis is a CFA Level II candidate.

Question #73 - 77 of 200

Question ID: 1675542

To keep her CFA Institute membership status, Tonis must:

A) avoid two or more public censures within any 12 consecutive months.

B) file a professional conduct statement every year.

C) enroll in the next scheduled CFA exam.

Question #74 - 77 of 200

Question ID: 1675543

With respect to the honorary membership in the alumni association, the complimentary tickets, and the accommodations for the sporting event, Tonis needs to inform her employer in writing of the:

A) tickets and accommodations, but not the membership.

B) tickets, but not the membership or accommodations.

C) membership, tickets, and accommodations.

Question #75 - 77 of 200

Question ID: 1675544

With respect to the information that Tonis overhears at the sporting event, she:

A) may not act on the information.

B) may not act on the information and must try to achieve public dissemination of the information.

C) may trade on the information using the mutual funds she has been already been using only.

Question #76 - 77 of 200

Question ID: 1675545

With respect to planning her own business while still at Target, which of the following statements is *most accurate*?

A) Tonis may copy and later use her model because Target is not using it.

B) Tonis may not begin planning a new business until she resigns from Target.

C) Tonis may not copy and take home the model because it is property of her employer.

Question #77 - 77 of 200

Question ID: 1675546

Soliciting rejected prospects from Target is:

A) not a violation of CFA Institute Standards because rejected prospects do not represent a competition with Target.

B) a violation of CFA Institute Standards under any circumstances.

C) not a violation of CFA Institute Standards because she plans to use a model rejected by Target's management.

Question #78 of 200

Question ID: 1675419

Tony Calaveccio, CFA, is the manager of the TrustCo small-cap venture fund in Toronto. He places trades for the fund with River City Brokerage. River City presents Calaveccio with a bottle of inexpensive wine at Christmas each year. Calaveccio does not disclose this fact in the prospectus of the small-cap venture fund. This action is:

A) in violation of the Standard concerning disclosure of conflicts to clients and prospects.

B) not in violation of the Code and Standards.

C) in violation of the Standard concerning disclosure of additional compensation arrangements.

Question #79 of 200

Question ID: 1675477

Susan Nielsen, CFA, works for a rating agency that competes directly with S&P and Moody's. Her friend, Lance Parker, works for the same company, but in a different department that is involved in advisory services for structured products. Nielsen frequently receives pressure from Parker to "put a positive face" on client ratings to help him sell advisory services. She is reluctant to discuss client ratings with Parker and tries to avoid the topic. She consults her company's compliance department and learns that there are no policies or procedures to discourage Nielsen and Parker from sharing information and is encouraged to consider his advice on company ratings. Nielsen should *most likely*:

A) advise regulators of the potential conflict of interest and seek legal counsel.

B) advise her firm to develop firewalls and protections to allow the different departments to function independently and avoid talking with Parker about client ratings.

C) continue to consult with Parker on company ratings, as the compliance department's position is that there is no conflict.

Question #80 of 200

Question ID: 1675537

While having a conversation with a prospective client, John Henry states that his performance across all of his past clients over the past five years was over 20%, which was 200 basis points higher than his benchmark. He tells the client that while the benchmark may rise or fall over time, his excess performance will remain consistent. Henry violated the Standards of Professional Conduct because:

A) the statement of excess performance is misleading with respect to its certainty.

B) he cannot discuss performance without clearly stating that the composite does not conform to GIPS.

C) he cannot discuss prospective future performance in any manner.

Kyle Hogue, CFA, is an emerging market analyst for Garrison Equity Funds, a U.S.-based mutual fund manager. Hogue has been covering the South American markets for five years and generally makes several 1-week trips per year to visit various countries and businesses in his assigned markets. As part of his trips, Hogue meets with government officials to discuss economic policies of the country and with executives of firms within the country to gather information on both short- and long-term prospects for the companies.

During Hogue's latest data-gathering trip, he spent the majority of his time in Brazil. Brazilian legislators and economic policymakers informed Hogue that the country's taxation system was about to be restructured and that trade barriers were going to be relaxed. Under the new tax structure, foreign entities with operations in Brazil will face an increase in effective tax rates, while local firms will be given a 5-year reduction in their effective tax rate, which can be extended up to a maximum of 15 years. New policies with regard to foreign trade will reduce tariffs on foreign imports of consumer goods, but high tariffs will remain in effect for industrial and agricultural products, Brazil's largest contributors to its growing GDP. The policymakers give Hogue a confidential economic report used internally by government officials to read and return. The report contains detailed data on the general trends he had

been discussing with the government and economic officials. Hogue photocopies the report and then returns the original as requested by his hosts.

Hogue also met with several Brazilian brokerage firms and members of the Brazilian stock exchange. During their first meeting, Hogue informed them that his research on the Brazilian market was being purchased by outside clients in record numbers. Hogue mentions that American investors are very excited about one company in particular, Brazil AgriTech, Inc. (BAI). Hogue notes that 3,000 investors have expressed great interest in purchasing BAI stock either directly or through Garrison's Brazil Fund within the next two months. He does not mention that only 600 investors actually expressed interest in purchasing the stock directly and that the remaining investors were existing clients who had expressed interest in purchasing shares of the Brazil Fund but had no specific opinions about the individual holdings.

During his final meeting with the exchange members, Hogue convinced two exchange specialists to enter into a contract with the exchange to increase their daily trading volume of BAI stock as well as the stock of Banc de Brazil (BDB), the country's largest private banking institution. BDB provides both commercial and investment banking services and has recently added brokerage services to its product mix. The trading contract will be effective the following day and will last for one year but will not be renewable at the end of its term. It is disclosed to potential investors in the marketing collateral.

Two days later, after returning to his office in the United States, Hogue has noticed that the stock price of BAI has risen and the bid-ask spread of BDB has narrowed, which he fully expected to occur. Hogue puts together a sell recommendation on BAI stock, noting in the report sharply lower growth in agricultural technological innovation and the increase in foreign-owned farms with access to better technologies developed outside of Brazil. He also constructs a buy recommendation on BDB stock, citing several key fundamental factors that make the stock attractive as well as a "deepening level of local market liquidity that will create attractive price entry points as a result of a temporary 1-year contract to increase market liquidity for BDB." Hogue releases the recommendation reports first to his "tier one" clients that pay the highest fees. He then issues shorter versions of the reports to the rest of his "tier two" clients later that day with a disclosure that more information is available upon request. Hogue also sells all holdings of BAI stock in the Brazil Fund and purchases shares of BDB with the proceeds the day after the recommendations are released.

Hogue's supervisor, Marianne Jones, CFA, questions him regarding his method of distributing recommendations to his clients. Jones is relatively new to the firm and just wants to make sure everything is on the "up and up." Hogue explains that he offers different levels of service to his clients and that in order to receive a lesser subscription to his research reports, they must sign a waiver. He goes on to say:

"All clients are offered both levels of service so that clients are fully informed before making a decision. The details of the service levels, including fees charged for both, are contained in my marketing brochures along with 10-year performance figures for the Brazil fund. Because I have only been managing the fund for five years, I have included my predecessor's performance to present a full 10-year period. Our management styles are very similar, however, so this minor detail is only disclosed to those clients who ask. I generally find that my clients are only interested in the last five years of data anyway. The brochure presents market-value-weighted return data before any fees or taxes are deducted. These return calculation methods are disclosed in clear language in the brochure."

Question #81 - 86 of 200

Question ID: 1675520

Did Hogue violate any CFA Institute Standards of Professional Conduct by meeting with Brazilian economic and governmental officials or by photocopying the economic report?

A) Yes, regarding either the meeting or the photocopying, but not both.

B) No, regarding both the meeting and the photocopying.

C) Yes, regarding both the meeting and the photocopying.

Question #82 - 86 of 200

Question ID: 1675521

During his first meeting with the Brazilian brokers and stock exchange members, did Hogue violate any CFA Institute Standards of Professional Conduct?

A) Yes, because he failed to maintain independence and objectivity by meeting with influential Brazilian market participants.

B) Yes, because he attempted to manipulate the market price of a Brazilian security.

C) No.

Question #83 - 86 of 200

Question ID: 1675522

Did the increased trading volume contract that Hogue negotiated between the Brazilian market specialists for the BDB stock violate any CFA Institute Standards of Professional Conduct?

A) Yes, because the contract discriminates against clients who will purchase the stock after the 1-year term is over.

B) No.

C) Yes, because the intent of the contract is to distort the trading volume of BDB in order to attract investors.

Question #84 - 86 of 200

Question ID: 1675523

When he distributed his buy and sell recommendations on BDB and BAI, respectively, did Hogue violate any CFA Institute Standards of Professional Conduct?

A) No.

B) Yes, because he has released the two versions of the report at different times.

C) Yes, because he has issued two versions of the same report, which is a disadvantage to clients paying lower fees.

Question #85 - 86 of 200

Question ID: 1675524

Has Hogue violated any CFA Institute Standards of Professional Conduct with respect to the time period of returns and method of calculating returns used in his performance presentation?

A) Yes, regarding both the time period and calculation method.

B) No, regarding both the time period and calculation method.

C) Yes, regarding either the time period or calculation method, but not both.

Question #86 - 86 of 200

Question ID: 1675525

By charging "tier one" and "tier two" clients different fees, has Hogue violated any CFA Institute Standards of Professional Conduct?

A) Yes, because the two classes of clients creates an inherent conflict of interest.

B) Yes, because having two classes of clients inappropriately discriminates against the lower fee clients.

C) No.

Michael Smyth is the senior vice president of equity investments at Systematic Investment Advisors, Inc. (SIA). He manages a team of analysts and portfolio managers and is responsible for maintaining and developing client relationships. SIA is located in a small European country and provides investment management services to high-net-worth individuals. Smyth is also a Level III Candidate for the CFA designation.

One of Smyth's clients is the Muller-Durand family. He had a long relationship with Helmut Muller. Before Muller's untimely death, he gave Smyth full discretion over his portfolio based on an investment policy statement that had been refined continuously over the years:

- Muller was the president of a publicly traded manufacturing company, Comax, and 20% of his portfolio's assets were invested in Comax equity. His contract with Comax prohibited his selling his Comax shares while he was employed.
- Muller had little liquidity needs. His children were grown, and his salary at Comax was sufficient to cover his annual expenditures as well as contribute to his investment portfolio.
- A former chartered accountant, Muller had been extremely knowledgeable and comfortable with the investment decision-making process.
- Smyth owns 10,000 shares of Comax and serves on Comax's board.
- Smyth played golf with Muller on a regular basis—and, with Muller's help, developed many client relationships from these outings.

SIA has a soft dollar arrangement with a local brokerage firm, First Brokerage, owned by Smyth's sister:

- Muller had agreed in writing that all trades in his portfolio would be directed to First Brokerage.
- Smyth purchased new carpets for his office with client brokerage. He believes that his managers make better investment decisions when their environment is pleasant and comfortable.
- Smyth attended an industry conference in the Bahamas with soft dollars. The program is devoted to improving management of the investment advisory firm. He believes that a well-run firm makes better investment decisions.

- Smyth consistently uses soft dollars to purchase research reports from an independent research firm that does in-depth analysis of a company's financial reporting. Several of his managers have commented on the quality and usefulness of these reports to their analysis and decision-making.

Smyth has an appointment to meet with Muller's widow, Wilhelmina Durand. Durand was an artist who had left management of their financial assets to her husband. She is meeting with Smyth to better understand her financial position.

Question #87 - 92 of 200

Question ID: 1675492

Which of the following Standards is *most* relevant regarding Smyth's meeting with Durand?

A) Standard III(A): Loyalty, Prudence, and Care.

B) Standard III(E): Preservation of Confidentiality.

C) Standard III(C): Suitability.

Question #88 - 92 of 200

Question ID: 1675493

Standard VI(A): Disclosures of Conflicts requires Smyth to disclose all matters, including beneficial ownership of securities of other investments, that could be expected to impair the member's ability to make unbiased and objective recommendations. Which of the following matters would *least likely* be disclosed to Durand?

A) SIA has a soft dollar arrangement with a brokerage firm owned by Smyth's sister.

B) Smyth played golf with Muller on a regular basis and developed client relationships.

C) Smyth owns shares in Comax.

Question #89 - 92 of 200

Question ID: 1675494

Which of the following *best* describes Smyth's compliance with the CFA Institute Soft Dollar Standards in his use of client brokerage?

A) Purchase of research reports is an allowable use of client brokerage.

B) Purchase of research reports and attending the conference are allowable uses of client brokerage.

C) Purchase of both research reports and carpeting are allowable uses of client brokerage.

Question #90 - 92 of 200

Question ID: 1675495

Smyth would like to continue to direct brokerage from Durand's portfolio to his sister's brokerage firm. To continue the arrangement and comply with the CFA Institute Soft Dollar Standards, which of the following disclosures are required?

A) Smyth must disclose that directed brokerage arrangements that require the investment manager to commit a certain percentage of brokerage might affect his ability to seek to obtain best execution.

B) Smyth must clearly disclose that his duty as the investment manager is to continue to seek to obtain best execution.

C) Smyth must clearly disclose, with specificity and in “plain language,” its policies with respect to all soft dollar arrangements.

Question #91 - 92 of 200

Question ID: 1675496

After determining Durand's risk and return objectives, liquidity needs, tax considerations, and unique circumstances, Smyth has decided that he must reduce Durand's holdings of Comax shares. He has several other clients, whom he met through Muller, who also have significant holdings in Comax. Smyth has also decided to reduce his own holdings in Comax because his term as a director of Comax will be up in June. He does not plan to seek reappointment, but as a member of the audit committee, he is privy to information about a tender offer. Smyth realizes this is a complex situation.

Which of the following Standards would be *least likely* to help Smyth decide what actions with respect to selling shares of Comax would be in compliance with the CFA Institute Standards of Practice?

A) Standard III(B): Fair Dealing.

B) Standard VI(A): Disclosure of Conflicts.

C) Standard III(C): Suitability.

Question #92 - 92 of 200

Question ID: 1675497

Because Smyth is a director of Comax and a member of the audit committee, what additional Standard is specifically applicable to Smyth's decision to sell his and his clients' shares of Comax?

A) Standard II: Integrity of Capital Markets.

B) Standard IV: Duties to Employers.

C) Standard VII: Responsibilities as a CFA Institute Member or CFA Candidate.

Question #93 of 200

Question ID: 1675463

Greg Allen is a security analyst and visits David Dawson, the chief financial officer of Edmonds Company. Dawson reveals a great deal of nonmaterial financial data to Allen, data that Dawson routinely reveals to all security analysts who visit him. From this data and other industry information, Allen conjectures that Edmonds is likely to make a tender offer for another company in the industry, a fact that, if true, would be considered material to the value of the company. Allen:

A) should send a copy of the report to Dawson for verification before disseminating the report to clients.

B) can publish his conclusion in a research report.

C) must not disseminate the information or use it for trading purposes until the tender offer is announced.

Sally Watson works as an equity portfolio manager for Brunswick Investment Advisers (BIA). Wally Jackson, president and chief investment officer of the firm, is a CFA charterholder who supervises Watson and other investment professionals within the firm. Watson is a candidate in the CFA program, and she has recently passed the Level II exam. BIA's clients include trusts, foundations, endowments, corporations, and high-net-worth individuals, including accounts for family and friends of its employees. Jackson and Watson manage

client portfolios with a growth strategy and concentrate on holdings in the health care, technology, and communications sectors. About 10% of BIA accounts are actively managed.

Because BIA uses Accommodate Broker-Dealer (Accommodate) for executing transactions, Accommodate provides research to BIA regarding holdings in accounts that are actively managed. The fees Accommodate charges BIA are competitive, and BIA applies the same basic fee structure to all its clients. BIA's clients do not know about BIA's arrangement to get research information from Accommodate.

The clients do know that Accommodate routinely allocates shares in IPOs that it underwrites to BIA. Jackson is eagerly awaiting the IPO of a new technology company that he intends to allocate across all current portfolios, including the proprietary account and accounts of friends and family. Based upon his research, Jackson feels this IPO has good potential and has been working to get an unusually large number of shares of the IPO.

BIA has recently been awarded two new client accounts, totaling $100 million, which are in the process of completing transitions from other managers. Although an investment objective and guidelines have not been formalized for the accounts, Jackson allocates shares of the IPO across all client accounts on a pro rata basis, including an allocation for these new client accounts.

Watson serves on the board of directors for New Medical Developments (New Medical), a biotech firm in which she maintains significant stock and options. BIA owns 4.5% of New Medical's stock on behalf of its clients and in its proprietary account. At a special meeting of New Medical's board, Watson learns that Remedy, Inc., is preparing a confidential tender offer for all of New Medical's shares outstanding. After the meeting, Watson sends an electronic mail message to Jackson detailing the offer.

Jackson immediately places New Medical on BIA's restricted list so representatives of BIA cannot recommend the stock. As rumors circulate in the investment community about the tender offer, some of Jackson's clients call and ask him to look into the possibility of purchasing stock in New Medical. Jackson is fearful of his situation and puts off such requests. As a result, one client, Craig Mills, files a complaint with CFA Institute that Jackson is not responding to his requests. Knowing the precarious situation he is in, Jackson decides to wait until the tender offer has been announced to address Mills's complaint.

CFA Institute becomes suspicious of Mills, because he seems to have a history of trading stocks for which material information soon becomes public. As part of an investigation into possible insider trading activities, CFA Institute asks Jackson to furnish CFA Institute with Mills's trading history.

Watson must notify BIA of all the following except:

A) her ownership of the stock in New Medical Developments.

B) her plans for taking the next CFA exam.

C) any independent consulting work she performs for third parties.

Question #95 - 99 of 200

Question ID: 1675528

With respect to the arrangement that BIA has with Accommodate, based on the information provided:

A) a violation has occurred because BIA charges the same fee structure to all of its clients.

B) no violation has occurred as long as BIA informs CFA Institute that the firm receives research information from the brokerage firm.

C) no violation has occurred because BIA charges the same fee structure to all of its clients.

Question #96 - 99 of 200

Question ID: 1675529

With respect to how Jackson allocated the shares in the IPO of the technology company, has Jackson acted in accordance with the Code and Standards?

A) Yes; Jackson allocated the shares of the offering fairly on a pro rata basis to all client accounts.

B) No; Jackson has violated Standard VI(B): Priority of Transactions.

C) No; Jackson has violated Standard III(C): Suitability.

Question #97 - 99 of 200

Question ID: 1675530

Given Brunswick's current ownership in New Medical, the Code and Standards require Jackson to:

A) not take any investment action, but communicate the information to other members of the proxy committee in preparation for consideration.

B) not initiate any investment action before the information is publicly disseminated.

C) trade the shares in client accounts before any accounts for himself, family, or friends.

Question #98 - 99 of 200

Question ID: 1675531

Given Watson's actions, which of the following statements is *most accurate*?

A) Standard III(A): Loyalty, Prudence, and Care was violated.

B) Standard III(E): Preservation of Confidentiality was violated.

C) None of the Code and Standards were violated.

Question #99 - 99 of 200

Question ID: 1675532

With respect to the complaint Mills filed against Jackson, and the subsequent investigation of Mills by CFA Institute, which of the following statements is *least accurate*?

A) Jackson did not violate the Code and Standards if he provides Mills's trading information to CFA Institute.

B) Jackson violated the Code and Standards by putting New Medical Developments on its restricted stock list.

C) Jackson violated the Code and Standards by not responding to Mills.

MH Securities is a subsidiary of MH Group (MH), a large Korean conglomerate, and has recently established offices in the United States and Canada. MH plans to target Korean Americans and Canadians for its services, which include selling the firm's research services as well as Korean equities, bonds, and won-denominated certificates of deposit (CDs). Chan-Heung Lee, CFA, has been hired to develop, implement, and oversee MH's compliance activities. Because there are very few compliance procedures in place, Lee will have to build the entire compliance framework. His objective is to conform to the CFA Institute Code and Standards. As one of his first steps, Lee decides to interview several MH employees to

determine what formal and informal policies and procedures currently exist at the firm. Lee calls meetings with Jamie Jin, Nadine Yu, and Mark Larson, each of whom is a CFA charterholder.

Jamie Jin has recently been hired as an investment officer by MH. Jin informs Lee during their meeting that her previous employer, Rearguard Funds, has agreed to pay her a 25-basis-point commission plus an annual bonus for all Rearguard funds she sells to MH clients. Jin is unsure whether she will even use any Rearguard products with her new clients, but she agrees to the arrangement in case a client specifically requests a Rearguard product. Because the likelihood of actually receiving any compensation from Rearguard seems remote, Jin has not previously disclosed the arrangement to MH.

In his meeting with Nadine Yu, an equity analyst at MH, Lee discovers that Yu has recently and abruptly changed her investment recommendation on Korean won-denominated bonds from buy to sell. She has prepared a research report to this effect and provides a copy to Lee in accordance with one of the firm's few existing compliance procedures. Her change of opinion is based upon nonpublic information provided to her in confidence by a friend on the monetary board at the Bank of Korea. While Lee is surprised at the abrupt change in the recommendation, he does not question the rationale and allows the report to be issued. Having received approval for her investment recommendation, Yu simultaneously releases the report to her individual and institutional research service subscribers as well as to MH's portfolio managers.

Lee's final meeting is with a new hire, Mark Larson, who has recently agreed to work for MH starting at the beginning of the next month. Lee is meeting with Larson to discuss new clients that Larson is expected to bring to MH. Larson, without providing details, assures Lee that he will have no problem increasing MH's client base. Before leaving his current employer, Affinity Advisers, Larson contacts 25 individuals from an Affinity prospect list by calling them, using public records and not Affinity's records, on Saturday mornings from his home. Of the prospects, a list of 10 individuals had previously been rejected as being too small for Affinity, but they still meet MH standards. The other list of 15 individuals remained viable prospects for Affinity. After learning of their status with Affinity, Larson suggests that all 25 prospects consider directing their business to him and his new firm, MH.

Lee's meetings with Jin, Yu, and Larson help him formulate compliance procedures. Lee decides that he will develop a written compliance manual that will be distributed to all of the firm's employees. The manual will delineate procedures for reporting violations and sanctions, describe the supervision hierarchy and each supervisor's duties, and outline the steps to monitor and evaluate the compliance program. Lee also designates Jin as the employee with ultimate responsibility for the compliance procedures and their enforcement.

Question #100 - 105 of 200

Question ID: 1675556

Because there are currently no compliance procedures in place, Lee should:

A) implement procedures based upon Korean securities laws and adjust these to conform with the CFA Institute Code and Standards as situations arise.

B) determine what constitutes adequate compliance procedures under the CFA Institute Code and Standards and then implement such procedures immediately.

C) implement a comprehensive set of compliance procedures immediately and verify their conformance with the CFA Institute Code and Standards as circumstances dictate.

Question #101 - 105 of 200

Question ID: 1675557

Before her meeting with Lee, did Jin's decision regarding the disclosure of the arrangement with Rearguard Funds violate any CFA Institute Standards of Professional Conduct?

A) No; she disclosed the arrangement with Rearguard to Lee in their meeting.

B) No; there was very little likelihood that she would actually receive a commission from Rearguard.

C) Yes.

Question #102 - 105 of 200

Question ID: 1675558

With regard to Yu's recommendation that investors sell Korean bonds, did Lee and Yu violate any CFA Institute Standards of Professional Conduct?

A) Only one person violated the CFA Institute Standards.

B) Neither Lee nor Yu violated any CFA Institute Standards.

C) Both Lee and Yu violated the CFA Institute Standards.

Question #103 - 105 of 200

Question ID: 1675559

With respect to the release of Yu's investment recommendation, did Yu violate any CFA Institute Standards of Professional Conduct?

A) Yes; Yu should have released the recommendation to the individual and institutional clients first.

B) Yes; Yu should have released the recommendation to the portfolio managers first.

C) No.

Question #104 - 105 of 200

Question ID: 1675560

In soliciting the list of 10 previously rejected prospects and the list of 15 viable prospects, did Larson violate any CFA Institute Standards of Professional Conduct?

A) Yes, regarding both lists.

B) No, regarding both lists.

C) Yes, regarding only one of the lists.

Question #105 - 105 of 200

Question ID: 1675561

Does the compliance program developed by Lee after his meetings with MH employees comply with CFA Institute Standards of Professional Conduct?

A) No. Authority to enforce the compliance program should rest with the compliance officer.

B) Yes.

C) No. Assigning supervisory duties takes away the responsibility of all supervisors to detect all violations of the compliance procedures.

Question #106 of 200

Question ID: 1675391

Which of the following is a correct statement of a member's duty under the Code and Standards?

A) A member who trades securities in a country with less strict laws, rules, regulations, or customs may follow those laws if he discloses this information to his client.

B) A member is required to comply only with applicable local laws, rules, regulations, or customs, even though the CFA Institute Code and Standards may impose a higher degree of responsibility or a higher duty on the member.

C) In the absence of specific applicable law or other regulatory requirements, the Code and Standards govern the member's actions.

Question #107 of 200

Question ID: 1675406

Mega Securities, a multinational investment advisor based in the United States, employs the following analysts who practice in multiple jurisdictions:

- Melissa Black, CFA, resides in Country N, which has no securities laws or regulations—but she does business in Country L, which has securities laws and regulations that are less strict than the Code and Standards.
- Tom White, a CFA Institute member, resides in Country L—but he does business in Country S, which has securities laws and regulations that are stricter than the Code and Standards.

According to the CFA Institute Code and Standards, which of the following statements about Black and White is correct?

	Black must adhere to the:	White must adhere to the:
A)	Law of Country N	Law of Country L
B)	Law of Country L	Law of Country S
C)	Code and Standards	Law of Country S

Question #108 of 200

Question ID: 1675422

Susan Nielsen, CFA, is an equity research analyst on a fact-finding property tour with six other analysts to learn about Just Kittens, Inc. Just Kittens sells tungsten ball bearings and has 16 warehouses, and 20 manufacturing, research, and wholesale sales outlets scattered over eight countries—mostly emerging markets. Because of the remote location of some of the facilities, commercial travel is effectively unavailable. Just Kittens charters a jet and various buses to take the research analysts to the properties. If Nielsen accepts these accommodations, she is *most likely*:

A) in violation of Standard I(B): Independence and Objectivity.

B) not in violation of Standard I(B): Independence and Objectivity because best practices dictate that better access to company executives is likely to lead to more accurate and timely information.

C) not in violation of Standard I(B): Independence and Objectivity because commercial travel is effectively unavailable.

Question #109 of 200

Question ID: 1675457

In the course of reviewing Corn Co., an analyst received comments from management that (while not meaningful by themselves), when pieced together with data he has accumulated from outside sources, led him to recommend placing Corn Co. on his firm's sell list. What should the analyst do?

A) He should show his report to his manager and counsel for their review because this information became material once it was combined with his analysis.

B) He should not issue the report until the comments are publicly announced.

C) The comments are nonmaterial, and the report can be issued as long as he maintains a file of the facts as supplied by management.

Question #110 of 200

Question ID: 1675479

June Bird is a pension consultant asked to advise on the Backwater County Pension Plan. Bird notices that 20% of the plan's assets are invested in privately held local businesses. Bird is concerned about the lack of liquidity and diversification caused by such an investment. She learns that state law allows investing in local businesses, and county law requires at least one-fifth of the plan's assets to be dedicated to investing in local businesses. Bird:

A) must immediately resign as a consultant to the plan.

B) can continue to advise the pension plan as best as she can with the restrictions.

C) should file a written complaint to the Department of Labor pointing out that the law is in conflict with the Employee Retirement Income Security Act (ERISA).

Question #111 of 200

Question ID: 1675487

Brenda Simone is a money manager, and the Blue Streets pension fund is one of her clients. The director of the pension fund calls Simone and asks her to use a particular broker so that the fund can obtain some research services with the soft dollars from that broker. Simone believes that the desired broker will provide the same price and execution as the normal broker that Simone uses. Simone does as the client wishes. Simone has:

A) not violated the Standards, as long as the research provided by the broker will benefit the plan beneficiaries.

B) not violated the Standards, as long as the research provided by the broker will benefit Blue Streets.

C) violated the Standards.

Question #112 of 200

Question ID: 1675480

Scott Andrews, CFA, is a stockbroker selling an oversubscribed stock issue. Which of the following *best* describes his actions regarding this sale? Andrews:

A) can offer this security on a prorated basis to all clients for which the security is appropriate.

B) can only offer this security to clients for which it is appropriate on a first-come, first-serve basis.

C) cannot offer an oversubscribed issue of stock to any clients.

Question #113 of 200

Question ID: 1675584

Jade Carter passed Level III of the CFA examination in June, but she will not complete her work experience requirement until August of next year. Carter can state on her resume that she:

A) is a CFA in waiting.

B) will be a CFA charterholder in August of next year, as long as she is on track to complete her work experience.

C) passed Levels I, II, and III of the CFA examination.

Question #114 of 200

Question ID: 1675460

Betsy Fox is an investment advisor who has a client, Don Gordon, who is an employment lawyer. At lunch, Fox noticed Gordon and the chief financial officer of Blue Star Company at the next table. She overhears them talking and ascertains that Blue Star is about to announce higher-than-expected earnings. Before the earnings release, Gordon contacts Fox and asks her to purchase 3,000 shares for his portfolio. Fox:

A) can only purchase shares for her personal account after informing all of her clients about the potential of the increase in earnings.

B) must refuse to purchase shares for Gordon.

C) can purchase shares for Gordon, but cannot ever purchase shares for her personal account.

Rajiv Singh, a CFA charterholder, works as an equity analyst with Horizon Investments, a large broker-dealer. After ski-resort developer HighLife misses a quarterly earnings target, Singh changes his recommendation on HighLife from buy to hold. Singh has been following HighLife for years. In several previous research reports on HighLife, Singh told clients that, based on his detailed analysis of the financial statements and market position, he believed HighLife had stopped picking up market share. He had mentioned concerns about HighLife several times in his reports and said in the most recent report that he would downgrade the stock if it missed quarterly earnings.

Singh had produced his monthly report on HighLife just a week before the earnings announcement, and because he had just written about his intention to downgrade the stock, he felt he did not need to inform clients of his recommendation change until the next monthly report.

On the same day that the HighLife report was released, Singh initiated coverage on another company, the convenience store operator QuickStop, with a buy rating. His research report is distributed that afternoon. A client sends Singh a sell order for QuickStop via email the same day the new recommendation is being disseminated to all of Singh's clients and prospects.

John Womack, a Level II CFA candidate, is a trader at Horizon. Womack, walking past the conference room during an investment meeting, learns of the initiation of the buy rating on QuickStop. Before the dissemination of the buy rating to Horizon's clients, he buys up a large block of QuickStop shares for Horizon's account in anticipation of clients' interest in the stock. When the rating is released to the firm's customers, he fills the incoming customer orders out of Horizon's inventory, generating a modest profit for the company.

Horizon is drafting trade-allocation guidelines for company-wide use. Five regulations that the company is considering are listed here:

- Regular orders are processed and executed on a pro rata basis.
- Shares in initial public offerings will be allocated on a pro rata basis to the firm's portfolio managers according to advance indications of interest from the managers.
- When the full amount of a block order is not executed, partially executed orders are allocated on a first-in, first-out basis.
- Orders must be recorded in writing and stamped with the time of the order and the execution.
- All clients participating in block trades are given the same execution price, and all clients are charged the same commission.

Question #115 - 120 of 200

Question ID: 1675499

When Singh receives the sell order for QuickStop, he should:

A) ask the client to delay the order until he sees the new research report.

B) process the sell order immediately to fulfill his fiduciary duty to the client.

C) tell the client about the buy rating and advise him not to sell the stock.

Question #116 - 120 of 200

Question ID: 1675500

Womack's trading actions are a violation of:

A) Standard IV(A): Loyalty to Employer and Standard III(B): Fair Dealing.

B) Standard III(E): Preservation of Confidentiality and Standard VI(B): Priority of Transactions.

C) Standard III(A): Loyalty, Prudence, and Care and Standard VI(B): Priority of Transactions.

Question #117 - 120 of 200

Question ID: 1675501

With regard to his coverage of HighLife stock, Singh:

A) did not violate the Standards for reasonable basis or research reports.

B) violated the reasonable basis Standard by downgrading a stock just because it missed one quarterly earnings estimate.

C) violated the research reports Standard because he failed to differentiate between facts and opinions.

Question #118 - 120 of 200

Question ID: 1675502

After Singh changed his investment recommendation for HighLife from a buy to a hold, he violated:

A) Standard III(B): Fair Dealing by not telling clients about the downgrade of HighLife in the wake of his promise to downgrade the stock if it missed estimates.

B) Standard V(A): Loyalty, Prudence, and Care by not exercising reasonable care and prudent judgment in his research.

C) Standard I(C): Misrepresentation by not exercising diligence and thoroughness in his research.

Question #119 - 120 of 200

Question ID: 1675503

Horizon's proposed IPO allocation procedures are:

A) a violation of Standard III(A): Loyalty, Prudence, and Care but not Standard VI(B): Priority of Transactions.

B) not a violation of Standard I(B): Independence and Objectivity.

C) not a violation of Standard III(B): Fair Dealing if they are disclosed to all clients and prospects.

Question #120 - 120 of 200

Question ID: 1675504

Which of the following trade allocation procedures being considered for Horizon's trade allocation policy would not be consistent with Standard III(B): Fair Dealing?

A) Regular orders are processed and executed on a pro rata basis.

B) When the full amount of a block order is not executed, partially executed orders are allocated on a first-in, first-out basis.

C) All clients participating in block trades are given the same execution price, and all clients are charged the same commission.

Question #121 of 200

Question ID: 1675374

Lawrence Kelly is the chief investment officer at a money management company that claims it is in compliance with CFA Institute Soft Dollar Standards. For the first time, the company has purchased securities in the country of Santa Rosa. He learns that under Santa Rosan law, one of the company's soft dollar policies is forbidden, yet to conform with the law, Kelly would have to violate the Soft Dollar Standards, but not the Standards of Professional Conduct. Kelly:

A) should follow the Santa Rosan law and can still claim compliance with CFA Institute Soft Dollar Standards.

B) must follow the Santa Rosan law and cease claiming compliance with CFA Institute Soft Dollar Standards.

C) must follow the CFA Institute Soft Dollar Standards, informing the Santa Rosan regulators of his reasons.

Question #122 of 200

Question ID: 1675404

If a CFA Institute member knows that a fellow member has violated the Code and Standards, according to Standard I(A), the member is:

A) required to dissociate from the activity and strongly encouraged to report it.

B) strongly encouraged to dissociate from the activity.

C) required to report the activity.

Question #123 of 200

Question ID: 1675375

Georgia Jones, CFA, is an analyst for Johnson, Thomas & Co. She also serves as an outside director for Dewey Manufacturing, Inc. In the course of her duties, she begins to believe that Dewey's income statement for the most recent period may have been misstated. Jones should do all of the following except:

A) consult with Dewey Manufacturing's legal counsel.

B) inform the Securities and Exchange Commission.

C) consult with Johnson, Thomas's legal counsel.

Question #124 of 200

Question ID: 1675412

Bob Blanford, CFA, is an investment analyst for a large global brokerage firm. He recently moved to Ragatan, a developing country with few securities laws and regulations. As part of conducting a company analysis, Blanford interviews Ravi Shanti, vice president of finance at Starr Industries (Starr). Starr is a major industrial firm in Ragatan and a client at Blanford's firm. Based on his analysis, Blanford suspects that Shanti may have deliberately overstated Starr's current earnings and its earnings for the past several quarters. If this information becomes public, Blanford believes that Starr's stock price will drop substantially. Blanford suspects that Shanti may have violated Ragatan's securities laws. Which of the following statements is *least likely* to comply with Standard I: Professionalism? Blanford should:

A) take no action.

B) disassociate himself from the client, if the activity is illegal or unethical.

C) determine the legality of the activity, possibly by consulting counsel.

Question #125 of 200

Question ID: 1675574

Lynne Jennings is a chemical industry research analyst for a large brokerage company. That industry is currently seeing an increase in mergers and acquisitions. While flying through Chicago, Jennings sees several senior officers, who she knows are from the largest and fourth-largest chemical companies, walk into a conference room. She concludes that negotiations for an acquisition might be taking place. Jennings:

A) should inform her compliance officer that she has material nonpublic information on firms she covers.

B) may use this information to support an investment recommendation.

C) may not act or cause others to act on this information.

Question #126 of 200

Question ID: 1675413

Shortly after becoming employed by Valco & Co., an investment banking firm, Stan McDowell, CFA, learns that most of Valco's initial public offerings (IPOs) are intended to profit management via price manipulation of the shares. McDowell observes an illegal act, sanctioned by senior management, in progress and refuses to sign off on his responsibility. Instead, McDowell takes the documentation to his supervisor and tells him he should sign it in his place. This action is a(n):

A) overreaction, as senior management's sanctioning of the act absolves McDowell from his ordinary responsibility as a CFA Institute member.

B) violation of the Code and Standards because he is required not to knowingly participate or assist in such an act.

C) suitable reaction, and he is in compliance with the Code and Standards.

Question #127 of 200

Question ID: 1675389

Which of the following statements about the CFA Institute Code and Standards is *most accurate*? They:

A) do not require that members report legal violations to the appropriate government or regulatory organization.

B) require members to persuade the perpetrator to cease illegal activities.

C) prohibit members from accepting gifts that create a conflict with their employer's interest.

Question #128 of 200

Question ID: 1675554

After a very successful quarter of high investment returns, Judy O'Berry, CFA, receives several gifts from grateful clients. O'Berry considers the gifts to be of novelty or sentimental value only, but she hears rumors that several junior employees are jealous of the attention she received for the group's efforts. She decides to consult the company's compliance rules on gifts and is surprised to learn her firm has no established rules. She consults the Standards of Practice Handbook, and then submits proposed rules on gifts to her company's compliance department. These rules should contain all of the following except:

A) restrictions on all types of business entertainment.

B) a formal value limit based on local customs.

C) a requirement to disclose the gift.

Question #129 of 200

Question ID: 1675580

David Lynch is an individual investment advisor who uses mutual funds for his clients. He typically chooses funds from a list of 40 funds that he has thoroughly researched. The Palmers, a married couple and a client, asked him to consider the Twin Peaks fund for their portfolio. Lynch had not previously considered the fund because when he first conducted his research three years ago, Twin Peaks was too small to be considered. However, the fund has now grown in value, and after doing thorough research on the fund, he finds the fund has suitable characteristics to be included in his acceptable list of funds. He puts the fund in the Palmers' portfolio, but not in any of his other clients' portfolios. The fund ends up being the best-performing fund of any of the funds on his list. Has Lynch violated any Standards? Lynch has:

A) violated the Standards by not dealing fairly with clients.

B) violated the Standards by not disclosing conflicts to clients.

C) not violated the Standards.

Question #130 of 200

Question ID: 1675435

Jennifer Gates is an individual portfolio manager who only uses mutual funds for her clients; she has, therefore, never created a portfolio of stocks. She enters an internet chat room on investments and starts answering questions about investments. She states in the chat room that she has a CFA designation. One woman in particular is interested and questions her about the viability of creating her own stock portfolio. Gates feels that this would be a mistake because she only has $150,000 to invest, and states, "I have experience creating stock portfolios, and it does not make sense to do so with only $150,000." The woman she has chatted with sends her an email and eventually becomes a client of hers. Gates has:

A) not violated the Standards.

B) violated the Standards by misrepresenting her experience.

C) violated the Standards by soliciting business over the internet.

Question #131 of 200

Question ID: 1675488

Maggie McCarthy is an individual investment advisor who uses mutual funds for her clients. She typically chooses from a list of 40 funds that she has thoroughly researched. The Figgs, a married couple and McCarthy's client, asked her to consider the Boilermaker fund for their portfolio. McCarthy had not previously considered the fund because when she first conducted her research three years ago, Boilermaker was too small to be considered. However, the fund has now grown in value, and after doing thorough research on Boilermaker, she found the fund was by far the most outstanding large company value fund in her list of funds. She puts the fund in the Figgs' portfolio, and in all new clients' portfolios, but not in any of her other clients' portfolios. Her reasoning is that her existing clients were comfortable with their current holdings, and she did not want to risk disturbing their comfort. Has McCarthy violated any Standards? McCarthy has:

A) violated the Standards by not having a reasonable and adequate basis for making the recommendation.

B) violated the Standards by not dealing fairly with clients.

C) not violated the Standards.

Question #132 of 200

Question ID: 1675378

According to the CFA Institute Standards of Professional Conduct, Standard I(A): Knowledge of the Law, members must not knowingly participate or assist in any violations of laws, rules, or regulations. An analyst:

A) is held responsible for participating in illegal acts when the law is evident to anyone knowing the law and can participate in a violation by having knowledge of the violation and taking no action to stop it or disassociate from it.

B) is held responsible for participating in illegal acts when the law is evident to anyone knowing the law and is held responsible for violations by others when the analyst is unaware of the facts giving rise to the violation.

C) must report all legal violations to the proper regulatory commission and is held responsible for participating in illegal acts when the law is evident to anyone knowing the law.

Question #133 of 200

Question ID: 1675579

Steve Jones is a portfolio manager for Gregg Advisors. Gregg has developed a proprietary model that has been thoroughly researched and is known throughout the industry as the Gregg model. The model is purely quantitative and screens stocks into buy, hold, and sell categories. The basic philosophy of the model is thoroughly explained to clients. The director of research frequently alters the model based on rigorous research—an aspect that is well explained to clients, although the specific alterations are not continually disclosed. Portfolio managers then make specific sector and security holding decisions, purchasing only securities that are indicated as buys by the model. Jones thoroughly understands the model and uses it with all of his clients. Jones is:

A) violating the Standards in purchasing stocks without a thorough research basis and in not disclosing all alterations of the model to clients.

B) violating the Standards in not disclosing all alterations of the model to clients, but not in purchasing stocks without a thorough research basis.

C) not violating the Standards, either in purchasing stocks without a thorough research basis or in not disclosing all alterations of the model to clients.

Question #134 of 200

Question ID: 1675379

Deloris Johnson, CFA, observed that her supervisor has violated a federal securities regulation. Johnson discussed the matter with her company's compliance department, but they have taken no action. According to the CFA Institute Code and Standards of Professional Conduct, Johnson is required to:

A) report the violation to securities regulators.

B) dissociate from the supervisor's activity.

C) confront the supervisor and attempt to stop the violation.

Question #135 of 200

Question ID: 1675397

CFA Institute members should encourage their employers to do all of the following except:

A) conduct background checks on potential employees to ensure that they are of good character and eligible to work in the investment industry.

B) require employees to write personal ethics statements.

C) make clear that dishonest personal behavior reflects poorly on the profession.

Question #136 of 200

Question ID: 1675388

Janet Green, CFA, provides investment advice and other services to clients in several countries. She resides in Country A, whose securities laws and regulations are less strict than the Code and Standards. She also conducts business with clients in Country B, which has no securities laws or regulations, and in Country C, which has securities laws and regulations that are stricter than the Code and Standards. Which of the following statements is correct? According to CFA Institute Standards of Professional Conduct, Green must adhere to the Code and Standards in:

A) Country A, Country B, and Country C.

B) Country A, but the law in Country B and Country C.

C) Country A and Country B, but the law in Country C.

Question #137 of 200

Question ID: 1675390

Which of the following statements about the responsibilities of CFA charterholders is correct? CFA charterholders:

A) are only obligated to comply with securities laws in the United States.

B) need not comply with the laws and rules governing their profession or must not engage in any individual behavior that reflects adversely on the entire profession.

C) must comply with the laws and rules governing their profession and must not engage in any individual behavior that reflects adversely on the entire profession.

Question #138 of 200

Question ID: 1675485

Patricia Cuff is the chief financial officer and compliance officer at Super Selection Investment Advisors, an organization that has incorporated the CFA Institute Code of Standards into the firm's compliance manual. Karen Trader is a portfolio manager for Super Selection. Trader is friendly with Josey James, president of AMD, a rapidly growing biotech company. Trader has served on AMD's board of directors for the last three years. James has asked Trader to commit to a large purchase of AMD stock for Trader's clients' portfolios. Trader had previously determined that AMD was a questionable investment, but she agreed to reconsider. Her reevaluation deemed the stock to be overpriced, but Trader nevertheless decides to purchase for her portfolios. Which standard was *least likely* violated?

A) III(B): Fair Dealing.

B) V(A): Diligence and Reasonable Basis.

C) III(A): Loyalty, Prudence, and Care.

Question #139 of 200

Question ID: 1675434

Travis Brown is a partner in a money management firm. He recently attended a seminar and learned about a quantitative model presented by Dixon. Upon returning to his office, Brown began testing the model and making a few minor alterations. He showed the model to his partners, who were impressed; they decided to promote the model as proof of the firm's value added. In the firm's next newsletter, Brown included a discussion of the model, the results, and financial data on several stocks selected by the model. These factual data were taken from Standard and Poor's publication. According to the CFA Institute Standards of Professional Conduct, which of the following actions is Brown required to take?

A) Brown must credit both Dixon and S&P.

B) Brown must credit S&P—there is no need to credit Dixon.

C) Brown must credit Dixon—there is no need to credit S&P.

Question #140 of 200

Question ID: 1675395

A government committee has concluded that investment company fees should be disclosed to clients each quarter and has proposed new legislation to require this. Currently, the legal requirement is to report such data annually. In compliance with current legal requirements, Dolphin Investments (Dolphin) discloses its fees annually. Eugene Shin, CFA, Dolphin's compliance officer, learns of the proposed changes but does not convert Dolphin's reporting to a quarterly basis. Shin's decision not to act:

A) is a violation of his duty to employer as defined in the Code and Standards.

B) constitutes professional misconduct as defined in the Code and Standards.

C) is not a violation of the Code and Standards.

Question #141 of 200

Question ID: 1675382

Which of the following is a correct statement of a member's duty under the Code and Standards?

A) In the absence of specific applicable law or other regulatory requirements, the Code and Standards govern the member's actions.

B) A member who trades securities in a foreign securities market where no applicable local laws or stock exchange rules regulate the use of material nonpublic information may take investment action based on this information.

C) A member is required to comply only with applicable local laws, rules, regulations, or customs, even though the Code and Standards may impose a higher degree of responsibility or a higher duty on the member.

Question #142 of 200

Question ID: 1675409

Michael Bellow, CFA, CAIA, is an investment banker who is involved with an initial public offering (IPO) of NewCo. Because this is Bellow's first involvement in an IPO, he reports to an experienced supervisor. While reviewing past financial statements provided by NewCo, Bellow suspects that NewCo deliberately overstated its earnings for the past several quarters. Bellow seeks the advice of his firm's highly competent general counsel and follows the advice given without deviation. Based on the general counsel's advice, Bellow consults his immediate supervisor about the suspected overstatement of earnings. After reviewing the situation, Bellow's supervisor explains why NewCo's calculations of its earnings are correct. Bellow realizes that his inexperience and exuberance initially led him to an incorrect conclusion about NewCo's earnings.

Which of the following statements about Bellow's actions involving Standard I(A): Knowledge of the Law and Standard I(C): Misrepresentation, is correct? Bellow:

A) violated both Standard I(A) and Standard I(C).

B) violated Standard I(A), but he did not violate Standard I(C).

C) did not violate either Standard I(A) or Standard I(C).

Question #143 of 200

Question ID: 1675420

An analyst who is a CFA Institute member receives an invitation from a business associate's firm to spend the weekend in a high-quality resort. To abide by the Standards, the analyst should (may):

A) refuse the invitation if the associate is from a firm he analyzes for his employer.

refuse the invitation if the associate is from a firm he analyzes for his employer, and

B) obtain written consent from his supervisor if the offer is contingent on achieving a target investment return.

C) obtain written consent from his supervisor if the offer is contingent on achieving a target investment return.

Kyle Hogue, CFA, is an emerging market analyst for Garrison Equity Funds, a U.S.-based mutual fund manager. Hogue has been covering the South American markets for five years and generally makes several one-week trips per year to visit various countries and businesses in his assigned markets. As part of his trips, Hogue meets with government officials to discuss economic policies of the country, and with executives of firms within the country to gather information on both short- and long-term prospects for the companies.

During Hogue's latest data-gathering trip, he spent most of his time in Brazil. Brazilian legislators and economic policymakers informed Hogue that the country's taxation system was about to be restructured and that trade barriers were going to be relaxed. Under the new tax structure, foreign entities with operations in Brazil will face an increase in effective tax rates, while local firms will be given a 5-year reduction in their effective tax rate, which can be extended up to a maximum of 15 years. New policies regarding foreign trade will reduce tariffs on foreign imports of consumer goods, but high tariffs will remain in effect for industrial and agricultural products, Brazil's largest contributors to its growing GDP. The policymakers give Hogue to read and return a confidential economic report used internally by government officials. The report contains detailed data on the general trends he had been discussing with the government and economic officials. Hogue photocopies the report and then returns the original as requested by his hosts.

Hogue also met with several Brazilian brokerage firms and members of the Brazilian stock exchange. During their first meeting, Hogue informed them that his research on the Brazilian market was being purchased by outside clients in record numbers. Hogue mentions that American investors are very excited about one company in particular, Brazil AgriTech, Inc. (BAI). Hogue notes that 3,000 investors have expressed great interest in purchasing BAI stock either directly or through Garrison's Brazil Fund within the next two months. He does not mention that only 600 investors actually expressed interest in purchasing the stock directly and that the remaining investors were existing clients who had expressed interest in purchasing shares of the Brazil Fund but had no specific opinions about the individual holdings.

During his final meeting with the exchange members, Hogue convinced two exchange specialists to enter into a contract with the exchange to increase their daily trading volume of BAI stock as well as the stock of Banc de Brazil (BDB), the country's largest private banking

institution. BDB provides both commercial and investment banking services and has recently added brokerage services to its product mix. The trading contract will be effective the following day and will last for one year, but it will not be renewable at the end of its term. It is disclosed to potential investors in the marketing collateral.

Two days later, after returning to his office in the United States, Hogue has noticed that the stock price of BAI has risen and the bid-ask spread of BDB has narrowed, which he fully expected to occur. Hogue puts together a sell recommendation on BAI stock, noting in the report that sharply lower growth in agricultural technological innovation and the increase in foreign-owned farms with access to better technologies developed outside of Brazil. He also constructs a buy recommendation on BDB stock, citing several key fundamental factors that make the stock attractive as well as a "deepening level of local market liquidity that will create attractive price entry points as a result of a temporary one-year contract to increase market liquidity for BDB." Hogue releases the recommendation reports first to his Tier 1 clients that pay the highest fees. He then issues shorter versions of the reports to the rest of his Tier 2 clients later that day with a disclosure that more information is available upon request. Hogue also sells all holdings of BAI stock in the Brazil Fund and purchases shares of BDB with the proceeds the day after the recommendations are released.

Hogue's supervisor, Marianne Jones, CFA, questions him regarding his method of distributing recommendations to his clients. Jones is relatively new to the firm and wants to make sure everything is on the "up and up." Hogue explains that he offers different levels of service to his clients, and that to receive a lesser subscription to his research reports, they must sign a waiver. He goes on to say the following:

"All clients are offered both levels of service so that clients are fully informed before making a decision. The details of the service levels, including fees charged for both, are contained in my marketing brochures along with 10-year performance figures for the Brazil Fund. Because I have only been managing the fund for 5 years, I have included my predecessor's performance to present a full 10-year period. Our management styles are very similar, however, so this minor detail is only disclosed to those clients who ask. I generally find that my clients are only interested in the last five years of data, anyway. The brochure presents market-value-weighted return data before any fees or taxes are deducted. These return calculation methods are disclosed in clear language in the brochure."

Question #144 - 149 of 200

Question ID: 1675451

Did Hogue violate any CFA Institute Standards of Professional Conduct by meeting with Brazilian economic and government officials or by photocopying the economic report?

Meeting	Photocopying

A)	No	Yes
B)	Yes	Yes
C)	No	No

Question #145 - 149 of 200

Question ID: 1675452

During his first meeting with the Brazilian brokers and stock exchange members, did Hogue violate any CFA Institute Standards of Professional Conduct?

A) Yes, as he broke client confidentiality by revealing their plans to purchase BAI stock.

B) No.

C) Yes, as he attempted to manipulate the market price of a Brazilian security.

Question #146 - 149 of 200

Question ID: 1675453

Did the increased trading volume contract that Hogue negotiated between the Brazilian market specialists for the BDB stock violate any CFA Institute Standards of Professional Conduct?

A) Yes, as the intent of the contract is to distort the trading volume of BDB to attract investors.

B) No.

C) Yes, as the contract allows the traders to place their transactions ahead of client transactions.

Question #147 - 149 of 200

Question ID: 1675454

When he distributed his buy and sell recommendations on BDB and BAI, respectively, did Hogue violate any CFA Institute Standards of Professional Conduct?

A) Yes, as he has issued two versions of the same report, which disadvantages clients paying lower fees.

B) Yes, as he has released the two versions of the report at different times.

C) No.

Question #148 - 149 of 200

Question ID: 1675455

Has Hogue violated any CFA Institute Standards of Professional Conduct with respect to the time period of returns and method of calculating returns used in his performance presentation?

	Time period	Calculation method
A)	No	Yes
B)	Yes	No
C)	Yes	Yes

Question #149 - 149 of 200

Question ID: 1675456

By charging Tier 1 and Tier 2 clients different fees, has Hogue violated any CFA Institute Standards of Professional Conduct?

A) No.

B) Yes, as having two classes of clients inappropriately discriminates against the lower-fee clients.

C) Yes, as having two classes of clients is a form of investment fraud.

Question #150 of 200

Question ID: 1675536

Dan Jeffries is a portfolio manager who is being sued by one of his clients for inappropriate investment advice. The Professional Conduct Program (PCP) of CFA Institute is investigating Jeffries for the same offense. Jeffries settles the lawsuit with the client while the PCP investigation is ongoing. When the PCP staff questions Jeffries about the problematic investment advice, Jeffries claims he cannot talk about it because doing so would violate the confidentiality of his client. Jeffries has:

A) violated the Standards by refusing to talk about the case with the PCP, but not by executing the settlement agreement.

B) violated the Standards by executing the settlement agreement, but not by refusing to talk about the case with the PCP.

C) not violated the Standards by executing the settlement agreement or by refusing to talk about the case with the PCP.

Question #151 of 200

Question ID: 1675486

Paul Drake is employed by a company to provide investment advice to participants in the firm's 401(k) plan. Company stock is one of the investment options in the plan. Drake feels that the stock is too risky for employees to own in their 401(k) plan and starts advising them to pull out of the stock. The treasurer of the company calls Drake and tells him that he will be fired if he continues making such advice because he is violating his fiduciary duty to the company. Drake should:

A) make sell recommendations, but point out that the company treasurer has a differing and valid point of view.

B) tell employees that he cannot provide advice on company stock because of a conflict of interest.

C) continue to advise employees to sell their stock.

Question #152 of 200

Question ID: 1675380

If an analyst suspects a client or a colleague of planning or engaging in ongoing illegal activities, which of the statements about the actions that the analyst should take is *most correct*? According to the CFA Institute Standards of Professional Conduct, the analyst should:

A) consult counsel to determine the legality of the activity and disassociate from any illegal or unethical activity if the member has reasonable grounds to believe that the activity is illegal or unethical.

B) disassociate from any illegal or unethical activity if the member has reasonable grounds to believe that the activity is illegal or unethical.

C) consult counsel to determine the legality of the activity.

Question #153 of 200

Question ID: 1675383

Jason Blackwell, CFA, works as an investment manager for Mega Capital (Mega), a large multinational brokerage firm. Mega is based in a country whose applicable law is stricter than the CFA Institute Code and Standards, but it does business with clients in a country whose applicable law is less strict than the Code and Standards. Blackwell decides to follow the requirements of the Code and Standards for clients in the less strict country, which is sufficient to also comply with that less strict country's local laws. While Blackwell is still employed at Mega, Lego Associates verbally asks Blackwell to review client portfolios during evenings and weekends for a fee. Blackwell gets written consent from his immediate supervisor at Mega to undertake this independent activity for a one-month trial basis.

Which of the following statements about Blackwell's actions involving Standard I: Professionalism, and Standard IV(A): Loyalty is *most accurate*? Blackwell:

A) violated Standard I, but he did not violate Standard IV(A).

B) violated both Standard I and Standard IV(A).

C) did not violate either Standard I or Standard IV(A).

Question #154 of 200

Question ID: 1675478

Which of the following statements about soft dollars is *least accurate*?

A) Directed brokerage are soft dollars to be used for research that benefits the investment firm.

B) Soft dollars are third-party research arrangements.

C) Soft dollars are assets of the client.

Question #155 of 200

Question ID: 1675564

Victor Logan is a portfolio manager for McCoy Advisors, and Jack Brisco is the director of research for McCoy. Brisco has developed a proprietary model that has been thoroughly researched and is known throughout the industry as the McCoy model. The model is purely quantitative and screens stocks into buy, hold, and sell categories. The basic philosophy of the model is thoroughly explained to clients. Brisco frequently alters the model based on rigorous research an aspect that is well explained to clients, although the specific alterations are not continually disclosed. Portfolio managers then make specific sector and security holding decisions, purchasing only securities that are indicated as buys by the model. Logan has conducted very thorough research on his own, using the same process that Brisco uses to validate his findings. Logan feels the model is missing some key elements that would further reduce the list of acceptable securities to purchase; however, Brisco has refused to look at Logan's research. Frustrated by this, Logan applies his own version of the model, with the justification that he is still only purchasing securities on the buy list. Because of the conflict with Brisco, he does not disclose the use of the model to anyone at McCoy or to clients. Which of the following statements regarding Logan and Brisco is correct? Logan is:

A) violating the Standards by applying his version of the model and by not disclosing it to clients. Brisco is not violating the Standards.

B) not violating the Standards by applying his version of the model, but he is violating the Standards by not disclosing it to clients. Brisco is not violating the Standards.

C) violating the Standards by applying his version of the model and by not disclosing it to clients. Brisco is violating the Standards by failing to consider Logan's research.

Question #156 of 200

Question ID: 1675399

CFA Institute believes that:

A) a minimum level of professional responsibility and conduct dictates that members be aware of and comply with laws, rules, and regulations governing their conduct.

B) a maximum level of professional responsibility and conduct dictates that members be aware of and comply with laws, rules, and regulations governing their conduct.

C) firms should comply with all domestic laws and regulations, and that these laws also govern behavior in foreign markets, regardless of foreign laws and requirements.

Question #157 of 200

Question ID: 1675414

Nicholas Brynne, CFA, is a fixed-income analyst who trades in mortgage-backed securities (MBS). The MBS industry has seen sweeping regulatory changes since Brynne took his current position, and he now feels his understanding of applicable laws and regulatory standards is dated. Brynne must:

A) update his understanding of applicable laws and regulatory standards relating to his position.

B) have all trades reviewed by his compliance department until he has obtained an expert level of knowledge in compliance.

C) rely on his firm's policies and procedures for guidance on legal and regulatory standards.

Question #158 of 200

Question ID: 1675381

Bob Smith, CFA, is an independent board member of Atlantic Technologies (Atlantic), but he is not paid by the firm for his services. An employee at Atlantic informs Smith that Atlantic has improperly timed the booking of contracts to achieve the desired quarterly financial results. The misleading financial statements would turn losses into profits. Smith confers with the firm's legal counsel, who indicates that this conduct is, in fact, illegal. Smith urges Sharon White, Atlantic's chief financial executive, to change the financial statements, but she refuses to do so and indicates that the firm's external auditors have approved the method of revenue recognition she has used. According to CFA Institute Standards of Professional Conduct, which of the following actions is *least likely* appropriate for Smith in this situation?

A) Report the illegal activity to CFA Institute.

B) Dissociate from the activity by resigning as a director or by reporting the activities to the appropriate authorities.

C) Bring his concerns to the other board members.

Question #159 of 200

Question ID: 1675408

Allen Parsons, a CFA candidate, suspects a colleague at his firm of engaging in an illegal activity. Which of the following statements about procedures for compliance involving Standard I(A): Knowledge of the Law is not correct? Parsons:

A) should consult counsel to determine whether the conduct is, in fact, illegal.

B) is required to report this legal violation to the appropriate government or regulatory organizations.

C) should urge his firm to attempt to persuade the perpetrator to cease such conduct.

Question #160 of 200

Question ID: 1675582

One year ago, Karen Jason left the employment as a portfolio manager of Howe Advisors. The departure was contentious, and both parties threatened legal action. As a result, both parties signed a settlement in which Jason was paid a prorated bonus, but she agreed not to work on the portfolios of any existing Howe client for two years. The terms of the agreement were that both parties agreed to keep all aspects of the agreement confidential, including the fact that there was hostility surrounding the departure. Jason now works for Torre Advisors, who has the Stein Company as a new client. At the time Jason left Howe, Stein was a client of Howe, although Jason did not personally work on the Stein portfolio. Jason's supervisor at Torre wants Jason to work on the Stein portfolio. Jason should:

A) inform her supervisor that she cannot work on the portfolio because of a noncompete agreement.

B) inform her supervisor that she cannot work on the portfolio because of a legal agreement, but cannot tell him why.

C) work on the portfolio because she did not personally work on the portfolio when she was at Howe.

Question #161 of 200

Question ID: 1675416

Steve Reese, CFA, an equity analyst for Bison Investments, has just completed his extensive research on the long-term prospects of ThetaCorp, a small technology firm that creates medical software for hospitals and other medical clinics. Reese has determined that the economic outlook for ThetaCorp warrants issuing a buy recommendation and has reflected this long-term view in his report, which is being reviewed by Bison's compliance department. The head of Bison's investment banking department, Mark Hazel, CFA, learned of the report and called Reese to suggest that he increase his recommendation to a strong buy in an effort to support Bison's bid to be retained as the lead underwriter for an upcoming bond issue by ThetaCorp. Hazel explained that the level of risk that Reese has assigned to ThetaCorp is too high—and that with a slight downward adjustment, a strong buy recommendation would be justified. Reese agreed to the adjustment and updated his report; he then resubmitted to the compliance department, which gave its official approval for distribution. According to CFA Institute Standards of Professional Conduct, which of the following is correct? Reese has:

A) violated the Standards by failing to maintain his independence and objectivity.

B) violated the Standards by failing to deal fairly with all of Bison Investments' clients.

C) not violated the Standards because he has reasonable basis to support a strong buy recommendation.

Question #162 of 200

Question ID: 1675418

According to CFA Institute Standards of Professional Conduct, which of the following is *least likely* a compliance procedure for maintaining independence and objectivity in making investment recommendations or taking investment action?

A) Maintain files to support investment recommendations.

B) Restrict special cost arrangements related to travel.

C) Create a restricted list so that the firm disseminates only factual information about a controversial company.

Question #163 of 200

Question ID: 1675459

Chuck Thomas is the trustee of a trust of which Jill Wyatt is the main beneficiary. Wyatt's husband is the president of a company. In emptying the recycling bin at home, Wyatt finds some papers that lead her to believe that her husband's company will make a tender offer to acquire another firm. Wyatt takes the information to Thomas, who uses it to purchase shares of the company for the trust, but does not further disclose the information. Thomas has:

A) violated the Standards concerning loyalty, prudence, and care.

B) not violated any Standards.

C) violated the Standards concerning material nonpublic information.

Question #164 of 200

Question ID: 1675387

Benito Salvatore, CFA, is licensed in the established country of Oldworld but has clients and makes investments in the emerging country of Newworld. The regulations of Oldworld prohibit licensed investment professionals from taking gifts or gratuities in any amount from vendors or persons connected with potential investments. The laws of Newworld are silent on this issue. Unsolicited, Salvatore is offered a vase worth USD 75 by a Newworld trust company and a bronze statue worth USD 200 by a Newworld company that Salvatore is considering as a potential investment.

Salvatore is:

A) permitted to accept the vase but not the statue.

B) not permitted to accept either gift.

C) permitted to accept both gifts.

Question #165 of 200

Question ID: 1675410

Robe Advisory Services operates an office in San Francisco, where it manages portfolios for its clients based in the United States. The firm also maintains an office in Tokyo, where it employs Sam Lee, CFA, who researches Japanese stocks. According to the CFA Institute Standards of Professional Conduct, Lee is required to maintain knowledge of and comply with all applicable laws, rules, and regulations in:

A) both the United States and Japan, but not the CFA Institute Standards of Professional Conduct.

B) Japan, but not the United States or the CFA Institute Standards of Professional Conduct.

C) both the United States and Japan and the CFA Institute Standards of Professional Conduct.

Question #166 of 200

Question ID: 1675401

Under Standard IV(A): Loyalty (to employers):

A) members are encouraged to leave an employer that does not adopt the Code and Standards as part of its policies and procedures.

B) it is recommended that members deliver a copy of the Code and Standards to their employer.

C) members are required to deliver a copy of the Code and Standards to their employer.

Question #167 of 200

Question ID: 1675407

A CFA Institute member is also a member and the portfolio manager of an environmentalist group. In its charter, the environmentalist group lists a group of companies its members should boycott. The CFA Institute member would violate Standard I(A) concerning obeying all rules and regulations if the member:

A) either purchases stock of a boycotted firm for the group's portfolio or actively protests against a publicly traded firm boycotted by the group.

B) actively protests against a publicly traded firm boycotted by the group.

C) purchases stock of a boycotted firm for the group's portfolio.

Question #168 of 200

Question ID: 1675425

Marjorie Kitunen, CFA, works for an investment management firm in its compliance department. She is reviewing the content of a monthly newsletter before it is sent to the firm's clients. Which of the following references to the CFA designation in the newsletter should she reject to comply with the CFA Institute Code and Standards?

A) "Curtis Manning is a new CFA charterholder at our firm."

B) "Aaron Anderson enrolled in the CFA Program to obtain the highest set of credentials in the global investment management industry."

C) "Long-term studies have shown that among investment advisors, CFA charterholders achieve better performance results."

Question #169 of 200

Question ID: 1675400

John Martin, an analyst, discovers that Jurix Co. has knowingly misstated information in its prospectus. To comply with CFA Institute's Code of Ethics and Standards of Professional Conduct, Martin's *most appropriate* course of action is to:

A) call the appropriate regulatory agency and report the action.

B) resign from his job to disassociate from the potentially illegal activity.

C) report the finding to the appropriate supervisory person in his firm.

Question #170 of 200

Question ID: 1675384

A member who suspects that a colleague is violating the law should *most appropriately*:

A) report the illegal activity to the appropriate regulatory agency.

B) report the illegal activity to CFA Institute Professional Conduct Program for action.

C) consult with the company counsel to determine if, in fact, a law is being violated.

Question #171 of 200

Question ID: 1675403

Mary White, CFA, sits on the board of directors of XYZ Manufacturing, Inc. She discovers that management has knowingly participated in an activity she knows is illegal. According to the CFA Institute Standards of Professional Conduct, White is *least likely* to be required to:

A) seek legal advice to determine what actions should be taken.

B) disassociate herself from the activity.

C) report the violation to the CFA Institute Professional Conduct Program.

Question #172 of 200

Question ID: 1675538

Ned Brenan manages two dozen pension accounts, one of which earned over 25% during the past two years. Brenan tells prospective clients that based on past experience, they can expect a 25% return on their funds. Which of the following statements is correct?

A) Brenan has not violated Standard of Professional Conduct III(D): Performance Presentation, but Brenan has violated Standard I(C): Misrepresentation.

B) Brenan has violated both Standard of Professional Conduct III(D): Performance Presentation and Standard I(C): Misrepresentation.

C) Brenan has violated Standard of Professional Conduct III(D): Performance Presentation, but Brenan has not violated Standard I(C): Misrepresentation.

Question #173 of 200

Question ID: 1675562

Preston Partners is an investment management firm that adopted the Code and Standards as part of its policy manual. Gerald Smithson, CFA, has recently added the stock of Utah Biochemical Company and Norgood PLC to all his client's investment portfolios. Shortly afterward, Utah Biochemical and Norgood announced a merger that increased the share price of both companies. Smithson contends he saw the president of Utah Biochemical dining with the chairman of Norgood, but he did not overhear their conversation. Smithson researched both companies extensively and determined that each company was a good investment. He put in a block trade for shares in each company. Preston's policies were not clear in this area, as he allocated the shares by starting with his largest client accounts and working down to the small accounts. Some of Smithson's clients were very conservative personal trust accounts; others were pension funds that had aggressive investment objectives. Which standard was not broken?

A) Standard III(C): Suitability.

B) Standard IV(C): Responsibilities of Supervisors.

C) Standard V(A): Diligence and Reasonable Basis.

Question #174 of 200

Question ID: 1675490

Denise Weaver is a portfolio manager who manages a mutual fund and has pension clients. When Weaver receives a proxy for stock in the mutual fund, she gives it to Susan Griffith, her administrative assistant, to complete. When the proxy is for a stock owned in a pension plan, she asks Griffith to send the proxy on to the sponsor of the pension fund. Weaver has:

A) violated the Standards by her policy on mutual fund and pension fund proxies.

B) not violated the Standards.

C) violated the Standards by her policy on mutual fund proxies, but not her policy on pension fund proxies.

Question #175 of 200

Question ID: 1675533

Janine Walker is an individual investment advisor with 200 individual clients. When she first obtains a client, Walker solicits personal data that helps her formulate an investment recommendation, including tax status, income, expenditure needs, and risk tolerance. The Standards:

A) require Walker to update the data regularly.

B) require updating a client's data only when a material change occurs to the personal data.

C) only require to update a client's data when a material change is being made to the clients' portfolios.

Question #176 of 200

Question ID: 1675386

Joan Platt, CFA, operates an investment advisory service in New York but maintains an office in Xania. Xania recently established a stock market that is not very efficient. None of the Xanian stocks trade in the U.S. market. Xania legally permits the use of material inside information. Platt believes that using inside information would help her compete against other Xanian investment advisors and would help some of her Xanian clients reach their investment objectives. Platt is considering adopting local investment practices in Xania. According to CFA Institute Standards of Professional Conduct, Platt may:

A) use material inside information, but only after notifying CFA Institute.

B) use material inside information because Xania legally permits this practice.

C) not use material inside information.

Question #177 of 200

Question ID: 1675417

An analyst is told by his supervisor that when he feels he should write a buy recommendation, he is free to do so—and when he feels he should write a sell recommendation, he should check with the supervisor first. This practice is *most likely*:

A) in violation of Standard V(B): Communications with Clients and Prospective Clients.

B) in violation of Standard I(B): Independence and Objectivity.

C) consistent with the Code of Ethics and Standards of Professional Conduct.

Question #178 of 200

Question ID: 1675461

Lee Roth, an investment advisor, is riding in a taxi and finds a file of information labeled "Genco Valuation." The folder contains a great deal of financial data, projections, and nonpublic information concerning the food products industry that lead Roth to believe that Genco will be worth 50% more than its current stock value. Roth also finds some correspondence that leads him to believe that the file belonged to Tom Hagan. Roth tries to find out where Hagan works so he can return the file. Roth:

A) cannot recommend Genco to his clients at this time.

B) can recommend Genco to his clients unless Hagan works for the equity research department for a brokerage firm.

C) can recommend Genco to his clients unless Hagan works for the corporate finance department for Genco.

Question #179 of 200

Question ID: 1675575

Janice Melfi is a portfolio manager for Soprano Advisors. Soprano has developed a proprietary model that has been thoroughly researched and is known throughout the industry as the Soprano model. The model is purely quantitative and screens stocks into buy, hold, and sell categories. The basic philosophy of the model is thoroughly explained to clients. The director of research frequently alters the model based on rigorous research—an aspect that is well explained to clients, although the specific alterations are not continually disclosed. Portfolio managers use the model to assist them in making portfolio decisions, but, based on their own fundamental research, are allowed to purchase securities not recommended by the model. This fact is not disclosed to the clients, because the head of marketing does not think it is relevant. Which of the following statements regarding the portfolio manager's investment decisions is correct?

A) Melfi is violating the Standards by using two investment processes that are in conflict with each other.

B) There is no violation of the Standards.

C) Soprano is violating the Standards by not disclosing the fundamental research aspect of the investment process.

Question #180 of 200

Question ID: 1675483

Jim Kent is an individual investment advisor in San Francisco with 300 clients. Kent uses open-ended mutual funds to implement his investment policy. For most of his clients, Kent has used the Baker fund, a small company growth fund based in Boston, for a portion of their portfolio. As a result, he has become very friendly with Keith Dunston, the manager of the fund, whom Kent feels is mainly responsible for Baker's performance. One day, Dunston calls Kent and tells him that he will be leaving the fund in four weeks and moving to San Francisco to work for a different money management company. Dunston is seeking suggestions on housing in the area. The Baker fund has not yet announced Dunston's departure. Kent immediately finds a fund that is a suitable replacement for the Baker fund, and over the next two days, he calls his 30 clients with the largest dollar investments in the funds and tells them he feels they should switch their holdings. The Baker fund feels the remaining clients' positions are small enough to wait for their annual review to switch funds. Kent has:

A) violated the Standards by not dealing fairly with clients, but has not violated the Standards regarding material nonpublic information.

B) violated the Standards by not dealing fairly with clients and regarding material nonpublic information.

C) violated the Standards regarding nonpublic information, but has not violated the Standards in failing to deal fairly with clients.

Question #181 of 200

Question ID: 1675581

Judy Gonzales is a portfolio manager with Brenly Capital and works on Johnson Company's account. Brenly has a policy against accepting gifts over $25 from clients. The Johnson portfolio has a fantastic year, and in appreciation, the pension fund manager sent Gonzales a rare bottle of wine. Gonzales should:

A) inform her supervisor in writing that she received additional compensation in the form of the wine.

B) return the bottle to the client explaining Brenly's policy.

C) present the bottle of wine to her supervisor.

Question #182 of 200

Question ID: 1675583

Ken James has been an independent financial advisor for many years. He became a CFA charterholder 20 years ago but did not feel it helped his business, so he finally let his dues lapse this year. He still has several hundred business cards with the CFA designation printed on them. His promotional materials state that he received the CFA charter 20 years ago. James:

A) must cease distributing the cards with the CFA designation, but he can continue to use the existing promotional materials.

B) can continue to use the existing promotional materials, and can use the cards until his supply runs out—his new cards cannot have the designation.

C) must cease distributing the cards with the CFA designation and the existing promotional materials.

William Fleming is an investment advisor for GlobalBank, a large, multinational financial corporation. He is based in the New York office, and his client base consists of medium-to-large institutional accounts in the United States and Western Europe. Roughly three-quarters of his clients pay performance-based fees, while the remaining one-quarter pay fees based on assets. GlobalBank's investment banking division is an industry leader, and Fleming is able to offer his clients the opportunity to participate in some of the hottest initial public offerings (IPOs) and secondary offerings brought to market. GlobalBank's compliance department formulated and distributed to its employees and clients its policy on how to allocate trades among clients.

The policy states that to reward customer loyalty, customers who use the services of GlobalBank's divisions other than investment advisory will receive allocations on all trades, including IPOs and secondary offerings, based on the relative size of their order, before clients who use only investment advisory services. After filling orders for multi-relationship clients, clients who only use investment advisory services will receive trade allocations on all trades, including IPOs and secondary offerings, based on the relative size of their order. This policy reflects GlobalBank's long-term goal of being a full-service provider of financial products and services to all of its clients.

One of Fleming's accounts, Waverly Capital Partners (Waverly), has contacted him regarding an upcoming secondary offering by DCH Corp. (DCH), for which GlobalBank will serve as lead underwriter. Waverly has already performed its due diligence on the offering and is interested in purchasing a substantial position in the secondary offering to employ the company's current surplus of cash. Waverly's representative tells Fleming over the phone that Waverly would like to purchase 5,000 shares of the offering, but gives no other details of its analysis of the offering. Fleming has not read the prospectus for the offering yet and is not familiar with the details, but because he has confidence in Waverly's investment

expertise, he tells them that he, too, believes they should participate in the offering. Because Waverly does a significant amount of business with GlobalBank's other divisions, Fleming assures them that they will be able to obtain their desired allocation of the offering and takes the order.

After taking the purchase order for the Waverly account, Fleming thoroughly reads the prospectus and marketing materials for the offering, as well as past research reports on the issuing company. He determines that DCH shares would be a suitable investment for one of his other clients, The Crockett Foundation (Crockett). He contacts the chief investment officer (CIO) of the foundation, explains how an investment in DCH would fit with its current risk and return objectives as detailed in the foundation's investment policy statement (IPS), and provides her with the prospectus for the offering. Fleming tells her that GlobalBank was the lead underwriter for DCH's IPO three years ago and that since then, the stock has outperformed the S&P 500 by at least 15% every year. Fleming also states that the company's financial position is now even stronger, and that the shares will perform at least as well as the lowest return earned on the IPO shares in the last three years. He then proceeds to tell her, "If the foundation is interested in the offering, you should place an order immediately because the issue may be oversubscribed due to strong interest in the offering from Waverly Capital Partners and other clients." This information is enough to motivate Crockett's CIO to call a meeting with the foundation's investment committee.

After a quick meeting with Crockett's investment committee, the CIO calls Fleming to say that the foundation is interested in the offering and would like to place a purchase order. Crockett does not currently conduct any additional business through GlobalBank's other divisions. Because of GlobalBank's trade allocation policy, coupled with the high probability that the offering will be oversubscribed, Crockett is unlikely to be allocated as many shares of the offering as it would like to purchase. To obtain the desired number of shares for the client, Fleming devises a plan. He plans to add Crockett's order to Waverly's order, and once the order is filled, he will reallocate the extra shares back to the foundation's account at the end of the day. He feels that his action is justified because Crockett has maintained its account with Fleming and GlobalBank for over 10 years. In addition, Fleming has traders at GlobalBank sell large blocks of DCH over several days to push the stock price lower. The drop in value causes smaller investors at GlobalBank, who are not Fleming's clients, to withdraw their orders for shares of DCH's secondary offering. Fleming determines that the fewer number of purchase orders and the plan to piggyback on Waverly's order will allow Crockett to acquire its desired allocation of shares in DCH's secondary offering. Having achieved his goal, Fleming allows GlobalBank's traders to repurchase the firm's shares of DCH.

One year passes, and the shares of DCH's secondary offering have declined in price by nearly 20%. The CIO of the Crockett Foundation calls a meeting with Fleming to discuss the

poor performance of the security and to review the basis upon which Fleming recommended the investment. Fleming prepares Crockett's file to take with him to the meeting. The file contains Crockett's IPS, a detailed account of the purchase order, and all conversations held between Fleming and the CIO. In accordance with his own established procedures, however, Fleming maintained the original analysis supporting the purchase of shares in DCH's secondary offering for nine months after the investment was made.

Question #183 - 188 of 200

Question ID: 1675437

Is it *likely* that GlobalBank's trade allocation policy violated the CFA Institute's Standards of Professional Conduct?

A) Yes—the policy favors one group of clients over another and will disadvantage those clients who do not have multiple relationships with the firm.

B) No—the firm is allowed to offer different levels of service to its clients as long as the different levels are disclosed and available to all clients.

C) No—the firm fully disclosed its allocation policy to all clients and employees.

Question #184 - 188 of 200

Question ID: 1675438

According to CFA Institute's Standards of Professional Conduct, Fleming's execution of Waverly's trade order after confirming the appropriateness of the trade is *most likely*:

A) in violation of Standard I(C): Misrepresentation for not disclosing to Waverly that he did not read the marketing materials, but is not in violation of Standard III(C): Suitability because the client analyzed the investment thoroughly.

B) in violation of Standard V(B): Communication with Clients and Prospective Clients for not separating fact from opinion, but is not in violation of Standard I(C): Misrepresentation because his guarantee of future investment performance was not a written representation.

C) in violation of Standard V(A): Diligence and Reasonable Basis for not exercising diligence and thoroughness in his analysis of the investment and Standard III(C): Suitability for recommending an investment before determining if the investment was appropriate for the client.

Question #185 - 188 of 200

Question ID: 1675439

According to CFA Institute Standards of Professional Conduct, which of the following of Fleming's actions is *most likely* a violation of Standard I(C): Misrepresentation?

A) Fleming tells the CIO of the Crockett Foundation that DCH's secondary offering will earn at least the lowest return earned on its IPO shares over the last three years.

B) Fleming executes the trades on DCH Corp. per Waverly's instructions without first referring to Waverly's IPS.

C) Fleming tells the CIO of the Crockett Foundation that shares of DCH's IPO outperformed the S&P 500 by at least 15% in each of the last three years since the offering.

Question #186 - 188 of 200

Question ID: 1675440

Which of the following statements *most accurately* assesses Fleming's comment about Waverly during his conversation with the chief investment officer of the Crockett Foundation? According to the Code and Standards, Fleming's statement is:

A) in violation of Standard III(E): Preservation of Confidentiality because of his failure to keep information about a client's investment action confidential.

B) in violation of Standard I(C): Misrepresentation because his statement may be misleading with regard to future performance of the offering.

C) not in violation of any Standard because he only disclosed factual information, and he did not disclose the details of Waverly's purchase.

Question #187 - 188 of 200

Question ID: 1675441

According to CFA Institute Standards of Professional Conduct, did Fleming's conversation with the chief investment officer of the Crockett Foundation or his decision to sell GlobalBank's position in DCH stock *likely* violate Standard II(B): Market Manipulation?

	Conversation with CIO sell decision	Sell decision
A)	No	Yes

B)	Yes	Yes
C)	Yes	No

Question #188 - 188 of 200

Question ID: 1675442

Is it *likely* that Fleming violated any CFA Institute Standards of Professional Conduct related to his meeting with the chief investment officer of the Crockett Foundation?

A) Yes—he failed to maintain appropriate records to support his investment recommendation.

B) No—he maintained an IPS and followed established procedures in maintaining client records and data.

C) No—he does not have a duty to maintain client records; only his employer does.

Question #189 of 200

Question ID: 1675481

Sharon Pope has been asked by the chief investment officer to develop a firm-wide policy for proxy voting. Which of the following would not be acceptable to include in the policy statement?

A) The value of proxy voting must be maximized.

B) Portfolio managers of active funds must vote in all proxies; portfolio managers of index funds should vote only when they have a definitive opinion.

C) Voting proxies may not be necessary in all instances.

Question #190 of 200

Question ID: 1675392

Rory Deal recently passed Level III of the CFA exam and just started his first job as an investment advisor for an asset management firm. He conscientiously maintains records of changes in security regulations to comply with Standard I(A): Knowledge of the Law when he notices his colleagues are not keeping similar records, and he does not say anything. Is this a violation of Standard I(A)?

A) Yes, and Deal should disassociate from his colleagues.

B) No.

C) Yes, because Deal is bound by the Code of Ethics.

Bella Brown is an experienced generalist securities analyst employed by Lang & Co., a major U.S. brokerage firm whose clients have a high regard for her research and stock selection abilities. She was visited recently by a Lang managing director who said, "Please take a look at SpecChem, Inc., the specialty chemical producer. They are going to need an investment banker soon—and, because we make a market in their stock, we will be one of the firms considered for this business. I had lunch with SpecChem's treasurer today, who told me that their European problems are being resolved and that earnings results are definitely looking good. He likes us and is expecting you to call him for details." The managing director then left Brown's office, saying, "It would be great if you could rate the stock a 'buy.'"

In a subsequent hour-long telephone discussion with the treasurer, Brown obtained some useful information concerning recent company trends and developments as well as SpecChem's overall view of the outlook for sales and earnings during the next several quarters. Brown began thinking quite positively about the company and its prospects. She then reviewed some general source material on the chemical industry and read the Standard & Poor's Stock Guide on SpecChem, Inc. That afternoon, she wrote a report recommending purchase of the stock, shown next as Exhibit B. In accordance with Lang's routine procedures for predissemination review of research department recommendations, the report has been sent to the firm's director of research, who is aware of the circumstances under which it was prepared.

Exhibit B

LANG & COMPANY Company Report

Industrial: Specialty Chemicals Equity Research

Rating: Buy

SpecChem, Inc. (NYSE: SCM)

- We are initiating coverage of SpecChem, Inc., with this report.
- Earnings, up to 51% in the first quarter, are expected to be up again in the quarter ending June 30. Higher sales, better margins, an improved geographic sales mix, and savings from reduced pension expense are all contributing to this year's gains.
- Although European production is up only modestly year over year, successful cost reduction efforts are limiting the adverse effects of weak volume and pricing. A possible plant closure in September could improve plant use by 10%, accompanied by

potentially dramatic margin improvement. However, a $30 million after-tax special charge could be taken at the time of the closure.

- We expect a moderate increase in second-half 2014 sales. Although management looks for European demand to remain slow, it feels that U.S. sales could be above expectations if auto-related demand strengthens. Management is also optimistic about receiving a sizable U.S. government contract in the next few months.
- Based on the factors just noted, our confidence level concerning earnings levels over the balance of the year is high.
- We think SpecChem stock is undervalued and believe it can easily reach the low 100s on the strength of continuing earnings momentum. The downside is estimated to be in the mid-80s. There is plenty of room for upside earnings surprises if volume and prices improve, which would take the stock up strongly. Purchase is recommended.

Analyst: Bella Brown

Research Department

This report is based upon information which we consider reliable, but we do not represent that it is accurate, and it should not be relied upon as such. We, or persons involved in the preparation or issuance of this material, may, from time to time, have long or short positions in the securities of the company mentioned herein.

Question #191 - 196 of 200

Question ID: 1675568

Under the CFA Institute Code and Standards, it is the responsibility of the Director of Research, a CFA Institute member, to:

A) not knowingly participate or assist in any violation of laws, rules, or regulations.

B) exercise reasonable supervision over those subject to their supervision or authority to prevent any violation of applicable statutes, regulations, or provisions of the Code and Standards.

C) both not knowingly participate or assist in any violation of laws, rules, or regulations, and exercise reasonable supervision over those subject to their supervision or authority to prevent any violation of applicable statutes, regulations, or provisions of the Code and Standards.

Question #192 - 196 of 200

Question ID: 1675569

Under the current circumstances, the director of research should:

A) require the report to be redone to ensure compliance with CFA Institute Standards.

B) require the report to be redone with a neutral or hold rating pending the outcome of the awarding of the investment banking business.

C) allow the report to be distributed, as is.

Question #193 - 196 of 200

Question ID: 1675570

The research report, as shown, has several aspects that violate CFA Institute Standards of Professional Conduct. Which of the following is not an apparent violation of CFA Institute Standards?

A) The report does not adequately discuss the factors important to analysis, recommendations, or action.

B) The report violates guidelines on investment performance presentation.

C) The report does not distinguish between fact and opinion.

Question #194 - 196 of 200

Question ID: 1675571

As to the process by which Brown's report in Exhibit B came into being, which of the following is *least likely* a procedural error in violation of CFA Institute Standards of Professional Conduct?

A) Brown has violated the Standard relating to the prohibition against plagiarism.

B) Brown has violated the Standard relating to independence and objectivity.

C) Brown has violated the Standard relating to disclosure of basic characteristics.

Question #195 - 196 of 200

Question ID: 1675572

Brown has been invited to visit the world headquarters of SpecChem. Brown expects that the information that she learns there will help her to flush out some of the fine details in her research on SpecChem's stock. SpecChem plans to pay for all of Brown's expenses, including meals, accommodations, and lodging. To comply with the Code and Standards, which of the following actions should Brown take? Brown should:

A) accept the reimbursement if she is confident that her report will still be objective.

B) accept the reimbursement, but she should disclose the total reimbursed expense-paid trip in the report.

C) pay for all of her travel expenses.

Question #196 - 196 of 200

Question ID: 1675573

Brown submits her report to the director of research for review, as required by Lang's procedures. Although the director supports Brown's general conclusion, he is somewhat more optimistic about SpecChem's near-term prospects, and based on his own thorough investigation, he believes that the stock could touch $150. The director changes the report to indicate a target price somewhat higher than originally predicted by Brown. Brown is confident that the director's conclusion has a reasonable basis, but thinks that $150 is on the high side of what is likely. The director adds his own name to the report to reflect his contribution.

To comply with CFA standards, must Brown request that her name be taken off the report before it is disseminated?

A) No.

B) Yes; Brown should dissociate from the report.

C) Yes; the director has misrepresented his contribution.

In August of the current year, the following events occurred related to Aggregate Opportunities, Inc. (Aggregate):

- August 8: The *Wall Street Journal* reported that Aggregate had inflated its prior year earnings due to questionable accounting practices. The story was based on interviews with unnamed sources within Aggregate and its auditor, Millennium Partners. On that day, the stock fell 42% to $12.50 from $21.55.

- August 10: At 9:00 am, Aggregate revealed in a conference call to analysts a restatement of earnings for the previous three fiscal years that almost completely erased the reported net income for those years. Aggregate's chief financial officer personally selected the small group of analysts participating in this call. Company officers said the restatement resulted from questionable accounting practices for off-balance sheet limited partnerships. At 1:00 pm, the company issued a news release containing the information provided in the conference call. By the end of the trading day, the stock had fallen 74% to $3.25.
- August 11: At 10:00 am, Aggregate's chief financial officer, Buster Lockhart, CFA, publicly announced his resignation, and the Securities and Exchange Commission said it was pursuing an investigation.

During July and August of the current year, the following actions were taken:

- July 20: Michael Cho, CFA, a highly respected analyst with 25 years of experience covering Aggregate's industry, had spent several days reading Aggregate's 10-K and 10-Q documents and other analysis published by some of his competitors at major brokerage houses. Based on his reading and conversations with Aggregate management concerning nonmaterial, nonpublic information, Cho concluded that Aggregate had inflated its earnings. On July 20, Cho issued a detailed research report to his clients and concluded that Aggregate should be sold. He subsequently participated in the August 10 conference call, although it only confirmed what he had already detailed in his July research report.
- August 2: Equity analyst Harold Black, a CFA charterholder, received from his brother information that Aggregate might restate its earnings. Black's brother is a senior partner at Millennium Partners. Based on this information, Black immediately issued a new research report that advised his clients to sell Aggregate, but did not liquidate his personal holdings in the company.
- August 4: Bob Watkins, a CFA Level II candidate and portfolio manager, was golfing at his club. Approaching the third tee, he heard the chief executive officer and chief financial officer of Aggregate discussing company finances. Concealing himself behind a tree, Watkins overheard them discussing the upcoming *Wall Street Journal* article and the earnings restatement. Based on this conversation, he immediately sold all Aggregate holdings in his clients' portfolios. Later that day, Watkins told his friend, Juan Martinez, CFA, what he learned about Aggregate and how he learned it. Martinez, a subscriber to Cho's research, then read Cho's report on Aggregate. Immediately after finishing Cho's report, Martinez sold the fund's entire stake in Aggregate. Watkins and Martinez were not participants in the August 10 conference call.
- August 10: Lisa Sanders, CFA, participated in the Aggregate conference call. At 10:00 am, she changed her recommendation on Aggregate from hold to sell and informed all of her clients. At 1:00 pm, Sanders sold Aggregate from her personal account.

Question #197 - 200 of 200

Question ID: 1675473

In selling his clients' holdings in Aggregate, Watkins:

A) did not violate Standard II(A): Material Nonpublic Information because there was no breach of duty.

B) did not violate Standard II(A): Material Nonpublic Information because the information did not involve a tender offer.

C) violated Standard II(A): Material Nonpublic Information by taking investment action.

Question #198 - 200 of 200

Question ID: 1675474

In advising his clients to sell Aggregate, Black:

A) violated Standard V(A): Diligence and Reasonable Basis because he did not have sufficient information to spur investment action.

B) violated Standard III(B): Fair Dealing because he did not take his own advice and sell the stock.

C) did not violate Standard I(B): Independence and Objectivity, but his supervisor violated Standard IV(C): Responsibilities of Supervisors.

Question #199 - 200 of 200

Question ID: 1675475

After changing her recommendation on Aggregate, Sanders:

A) violated Standard II(A): Material Nonpublic Information by taking investment action based on information not accessible to the public.

B) violated Standard VI(B): Priority of Transactions by trading Aggregate from her own account.

C) did not violate Standard II(A): Material Nonpublic Information because the information was disclosed to a select group of analysts.

Question #200 - 200 of 200

Question ID: 1675476

In selling his fund's stake in Aggregate, Martinez:

A) violated Standard III(A): Loyalty, Prudence, and Care by using information obtained from Watkins.

B) violated no standards.

C) violated Standard II(A): Material Nonpublic Information by using information obtained from Watkins.